



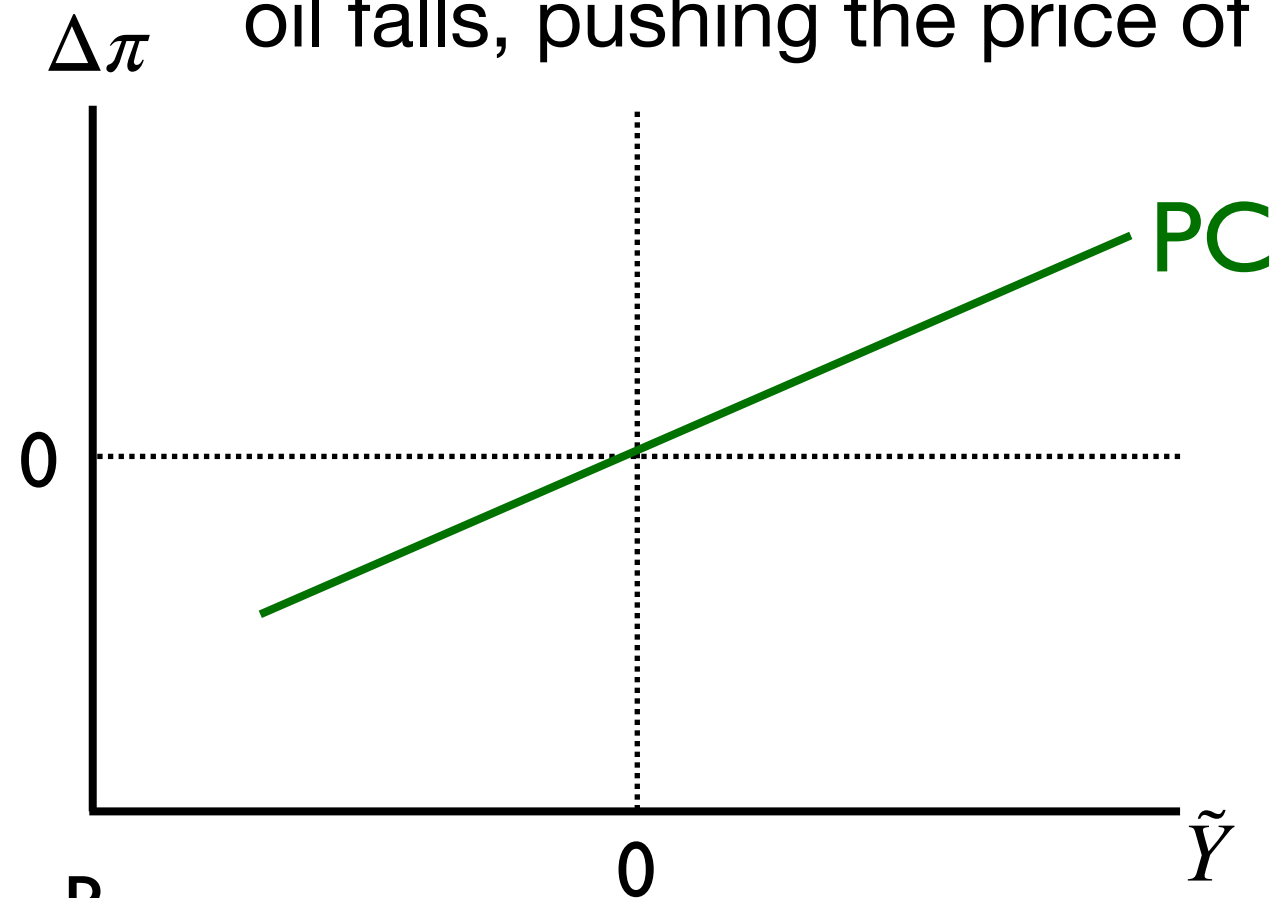
POLL EVERYWHERE questions

ECON 100B: Macroeconomics

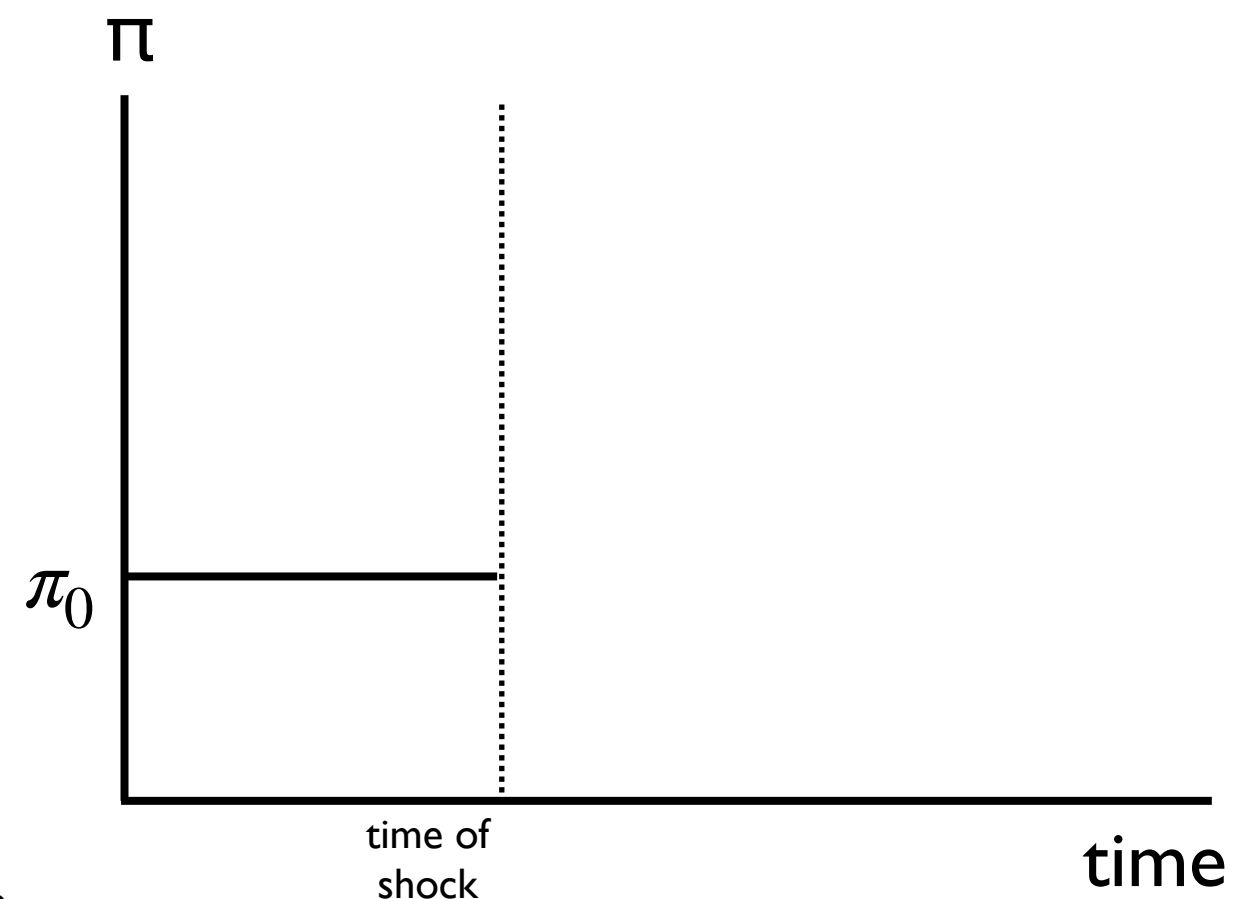
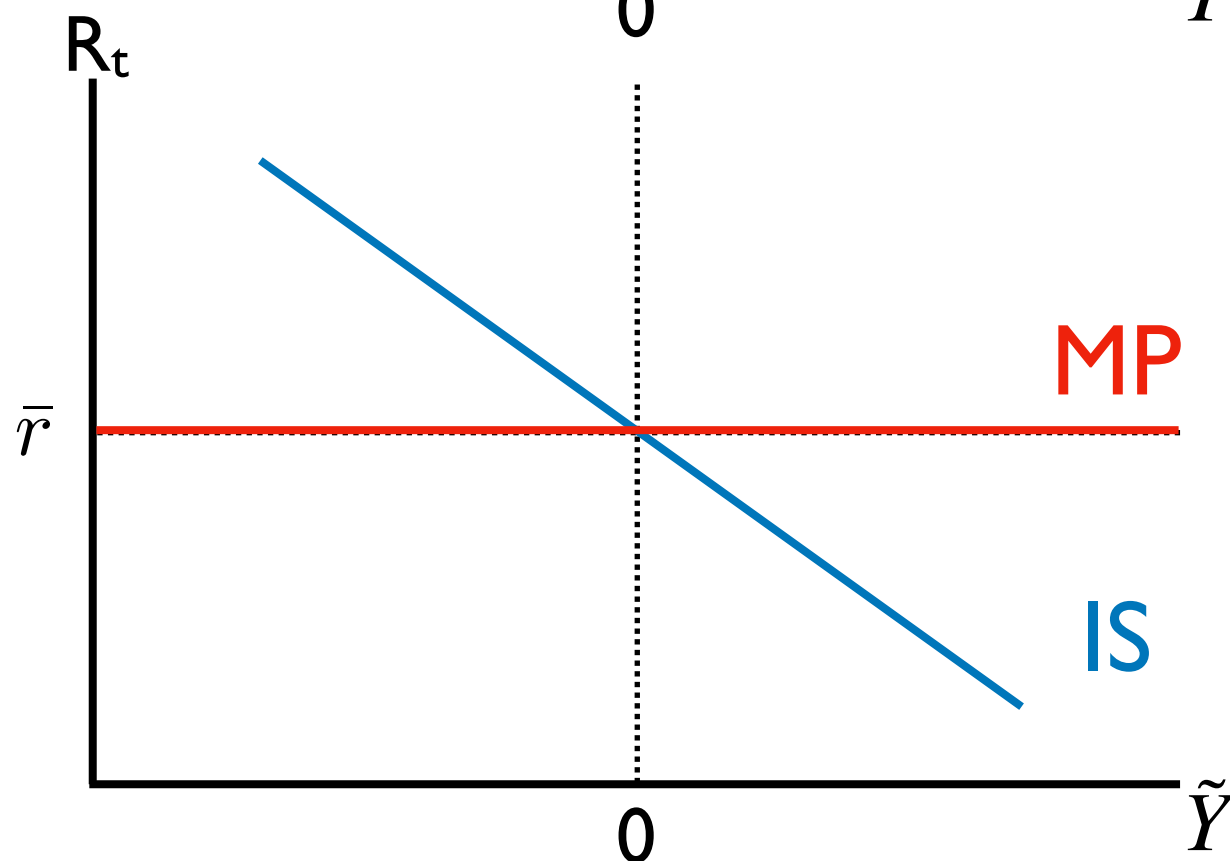
**Class 20: Stabilization policy [1/2]
(Jones Chapter 13)**

**Ryan D. Edwards
April 9, 2026**

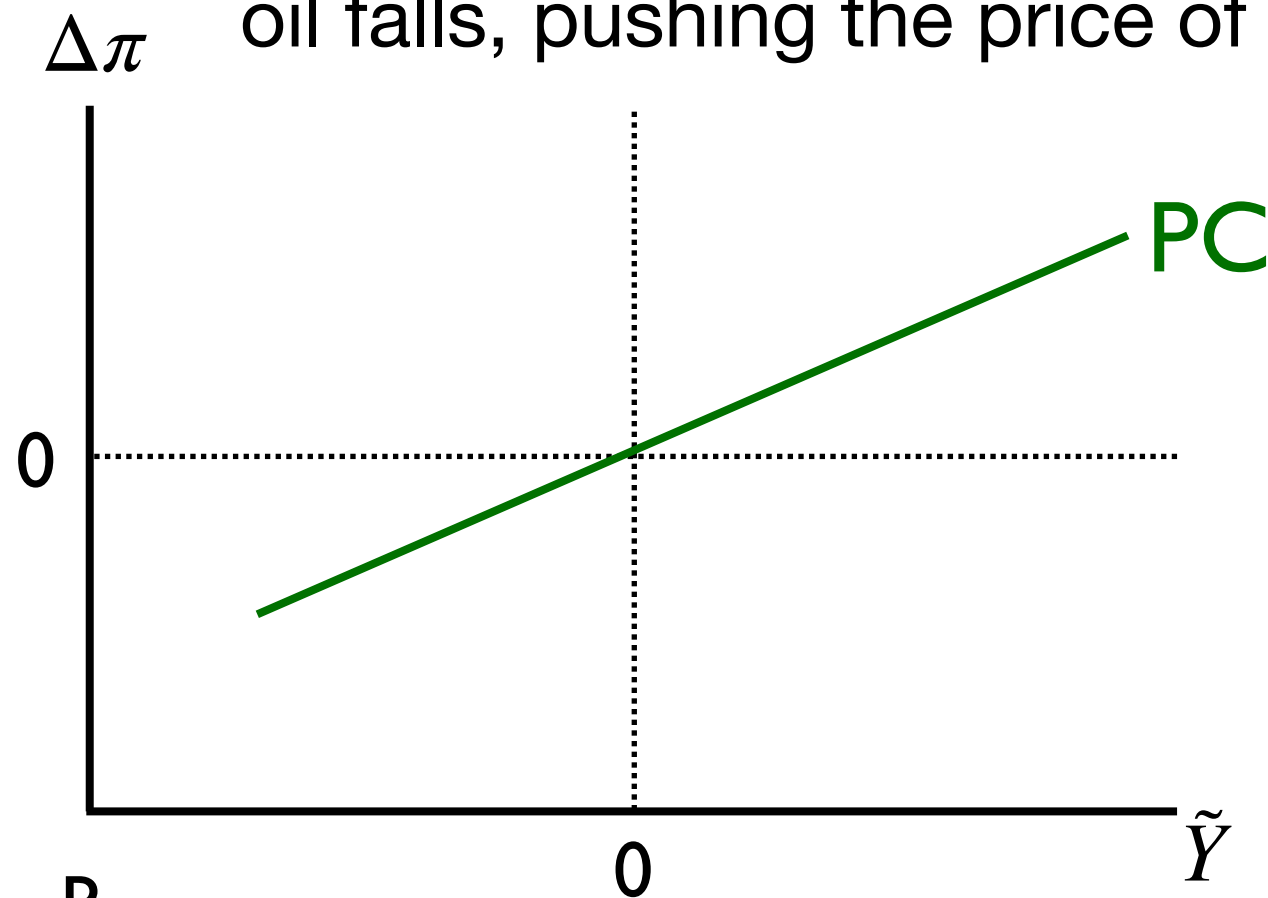
100b.20.1 Suppose there is an oil price shock: the supply of oil falls, pushing the price of oil higher. What happens first?



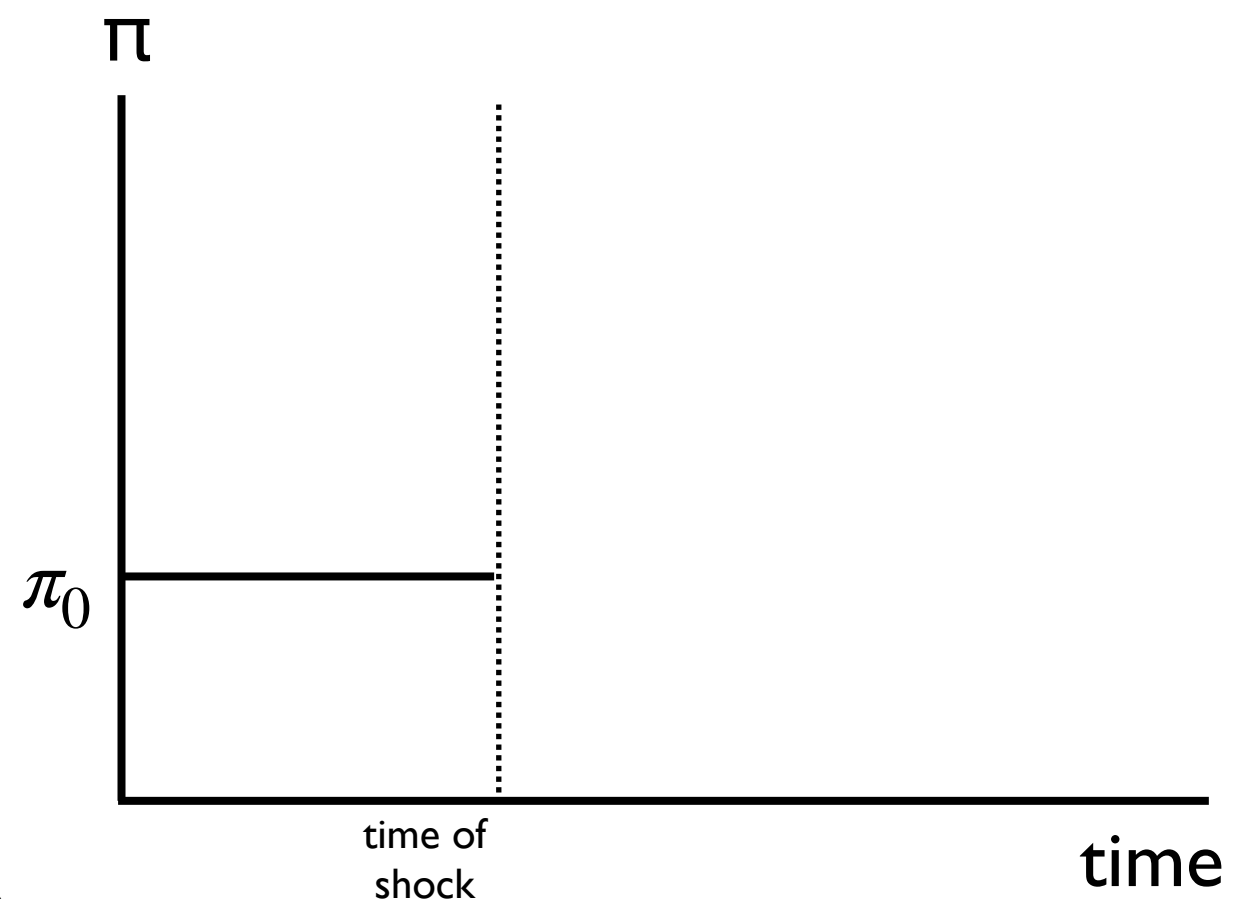
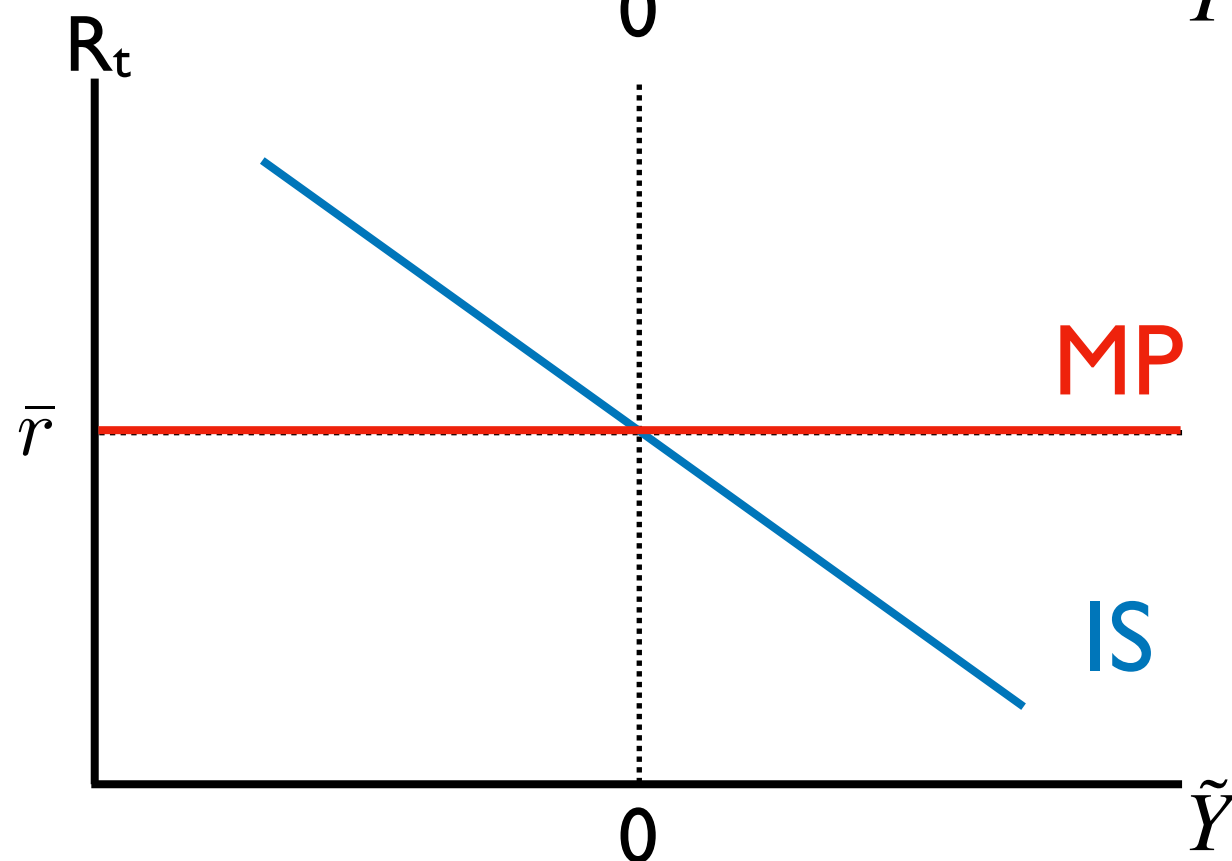
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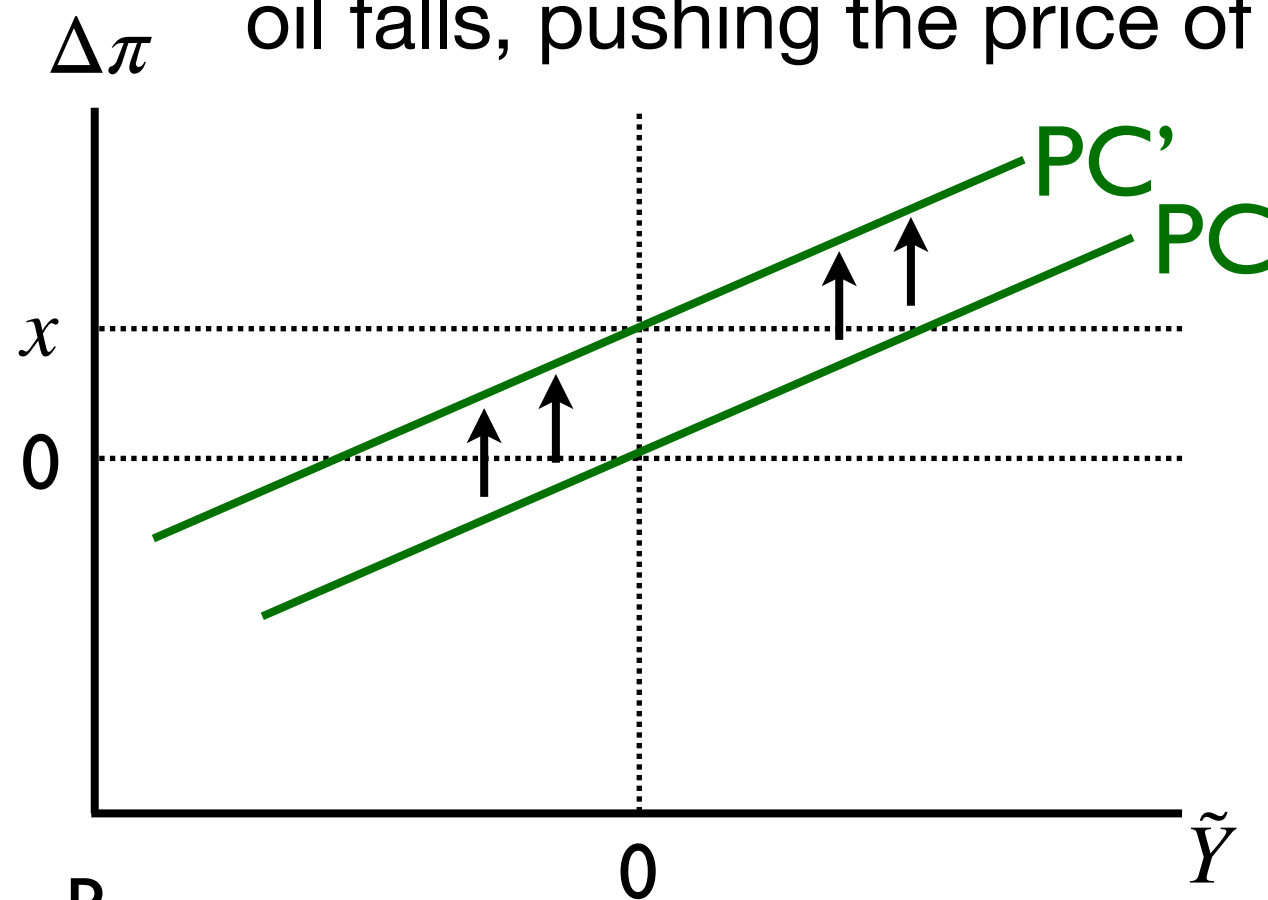
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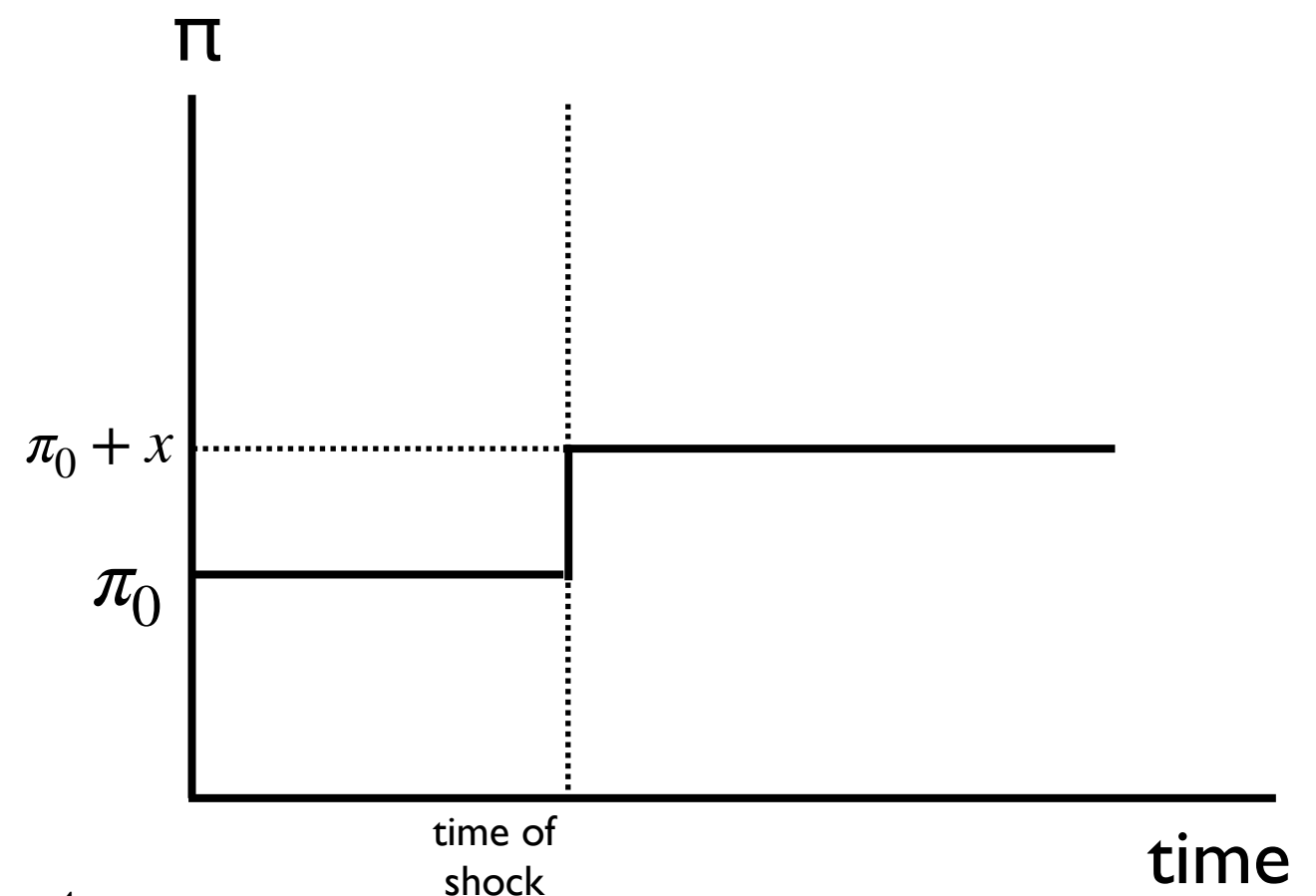
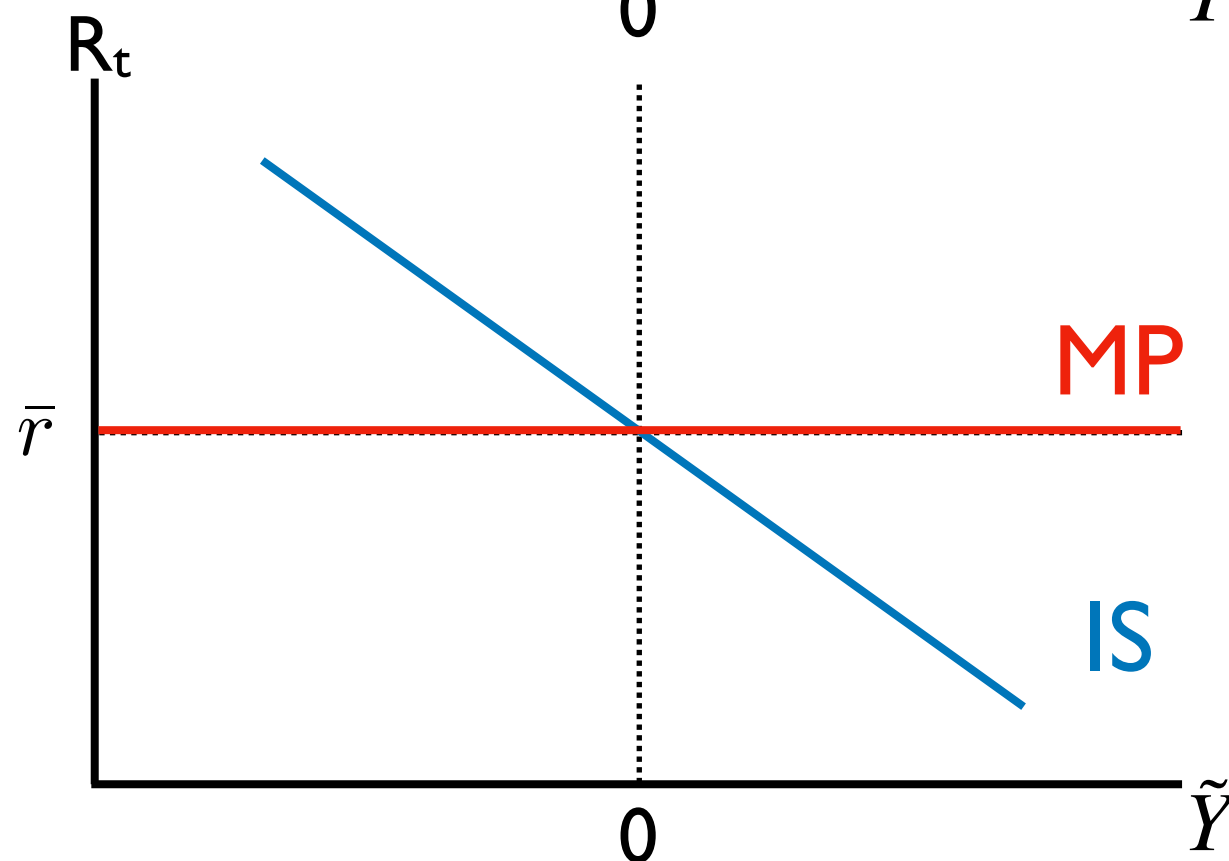
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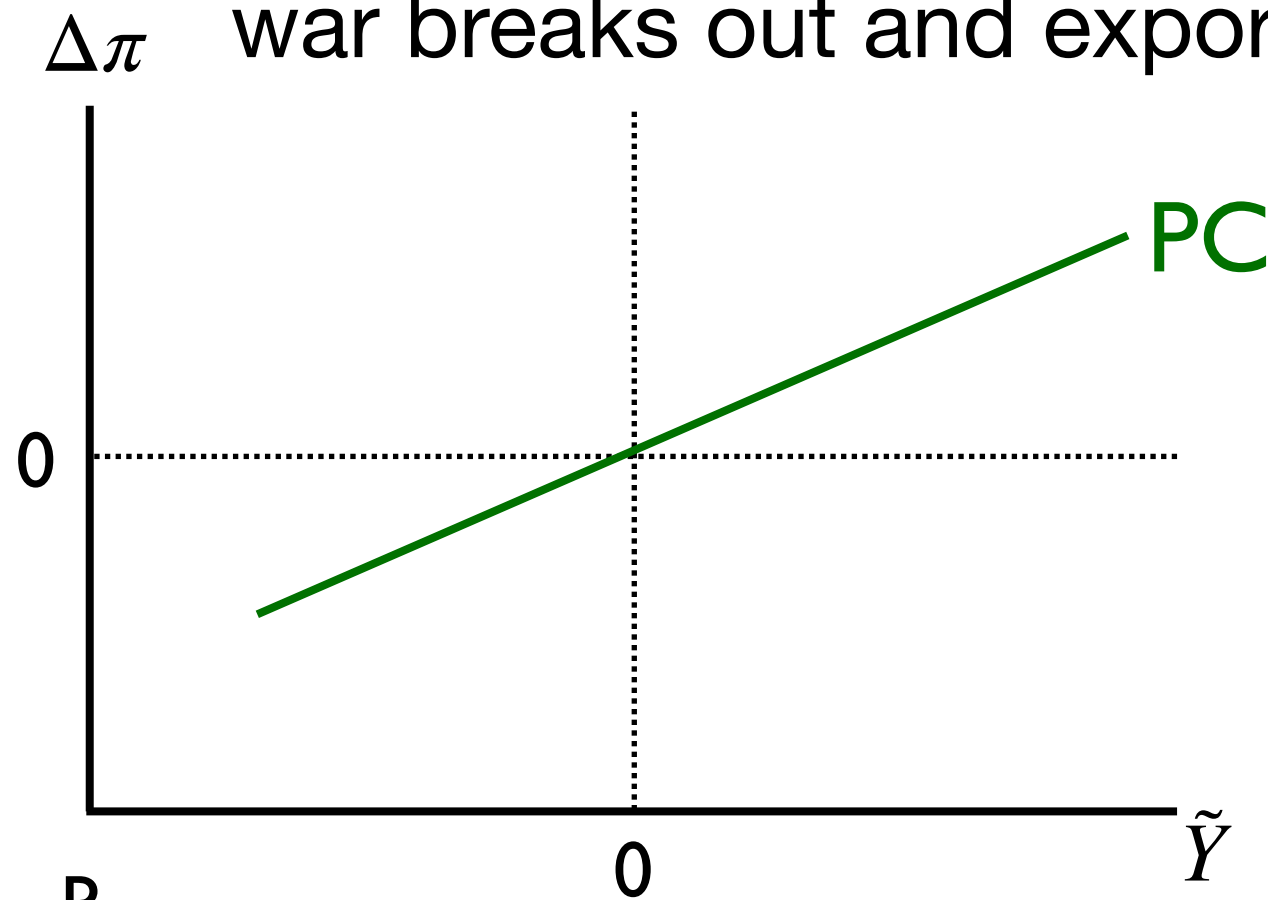
The Phillips curve PC jumps up to PC' . Inflation increases to $\pi_0 + x$. If nothing else happens, PC' will recede to PC , and $\Delta\pi = 0$ again

But the change in inflation would be permanent

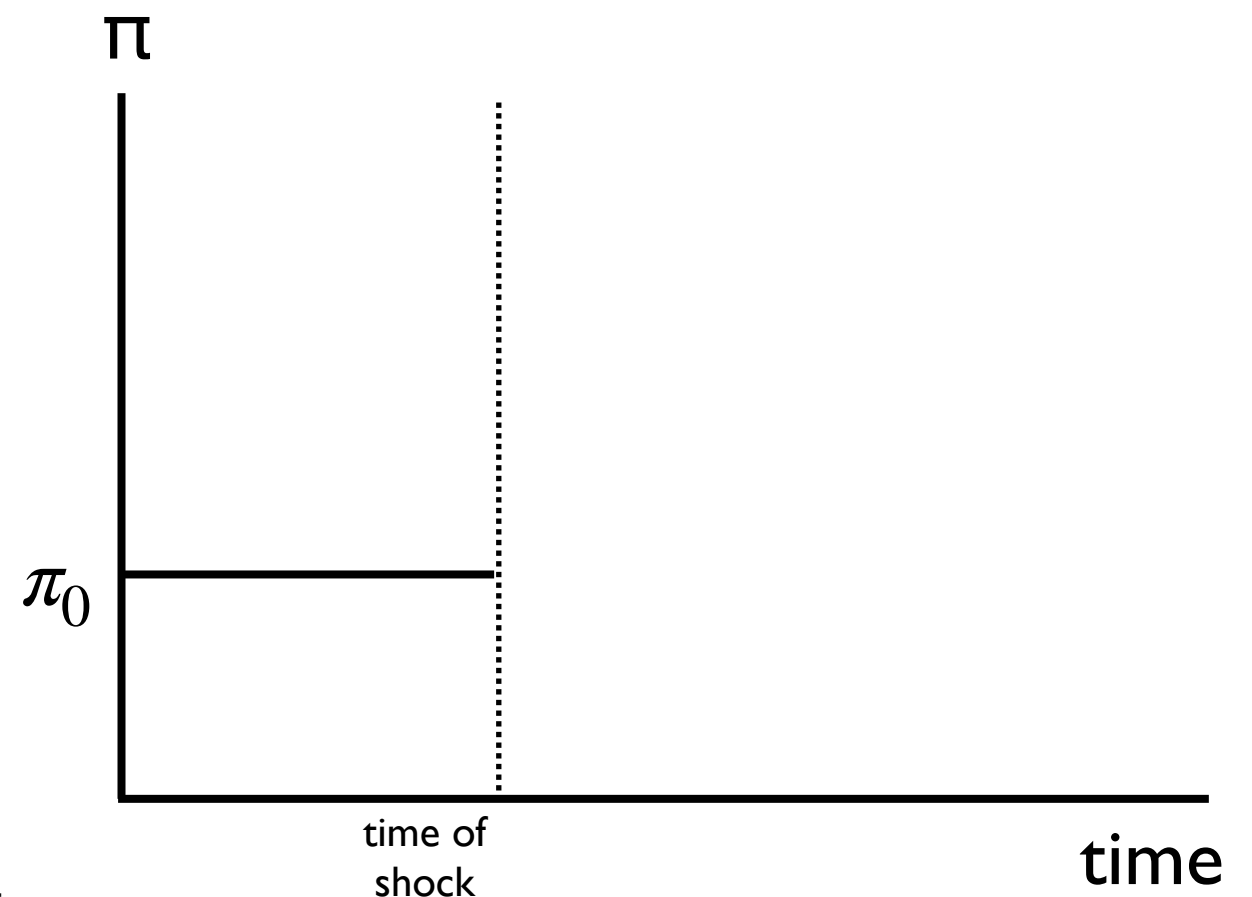
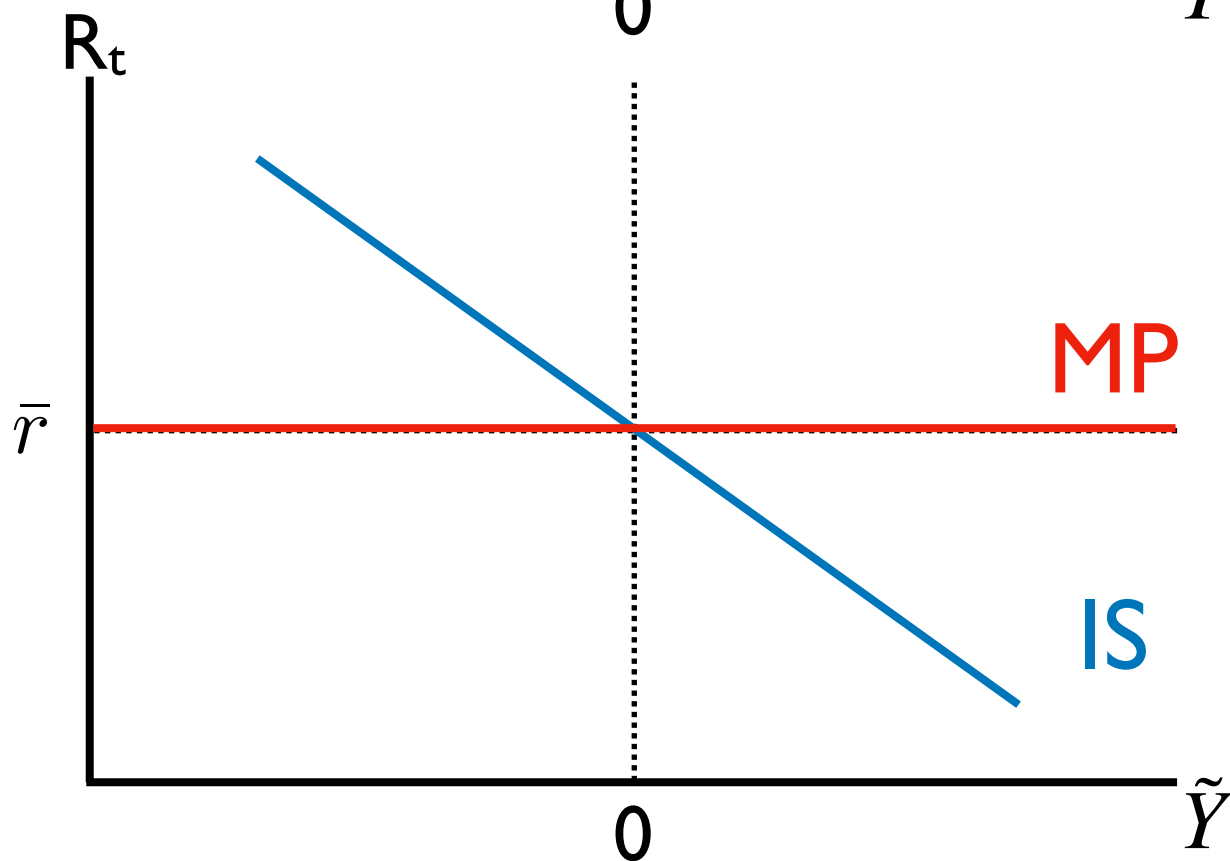
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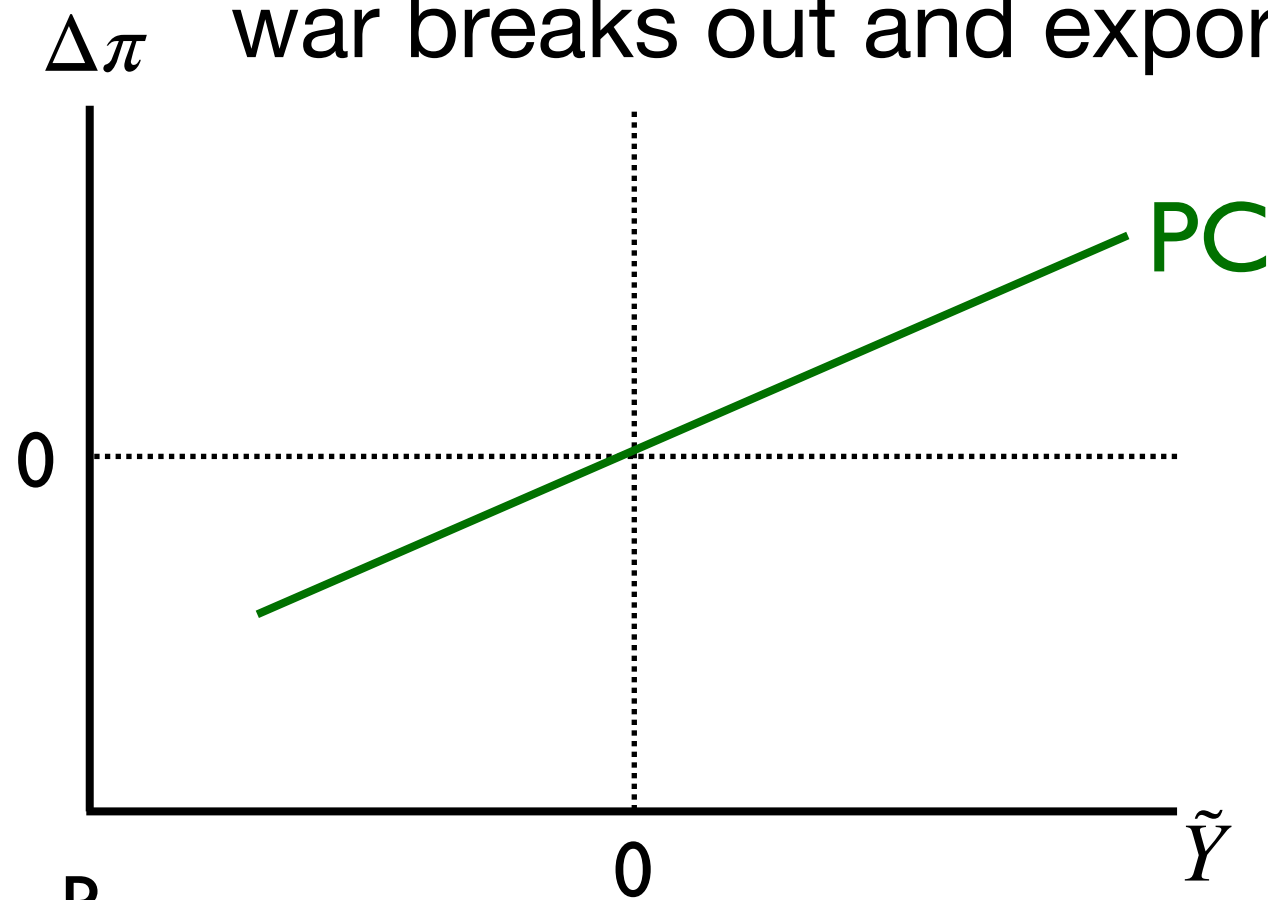
100b.20.2 Suppose there is a demand shock: a trade war breaks out and exports fall. What happens first?



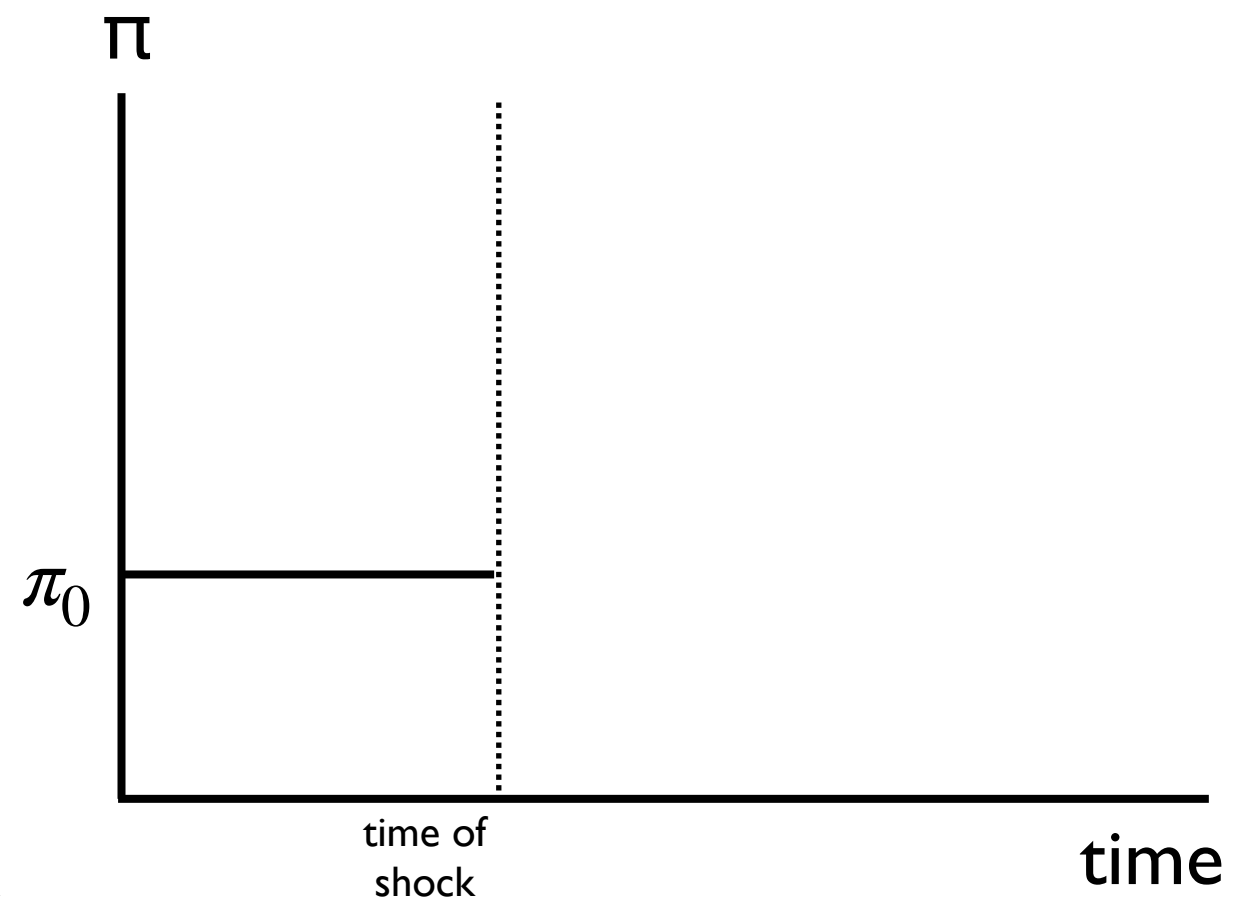
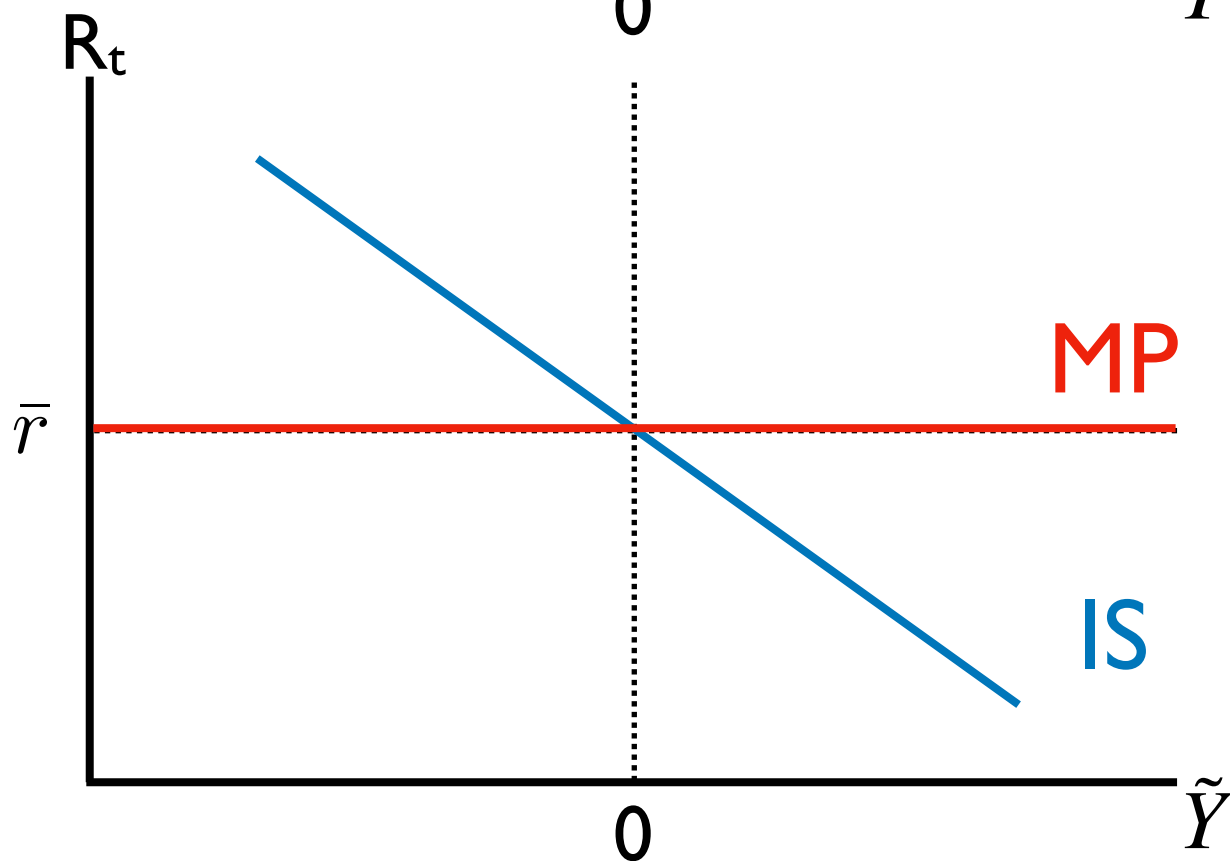
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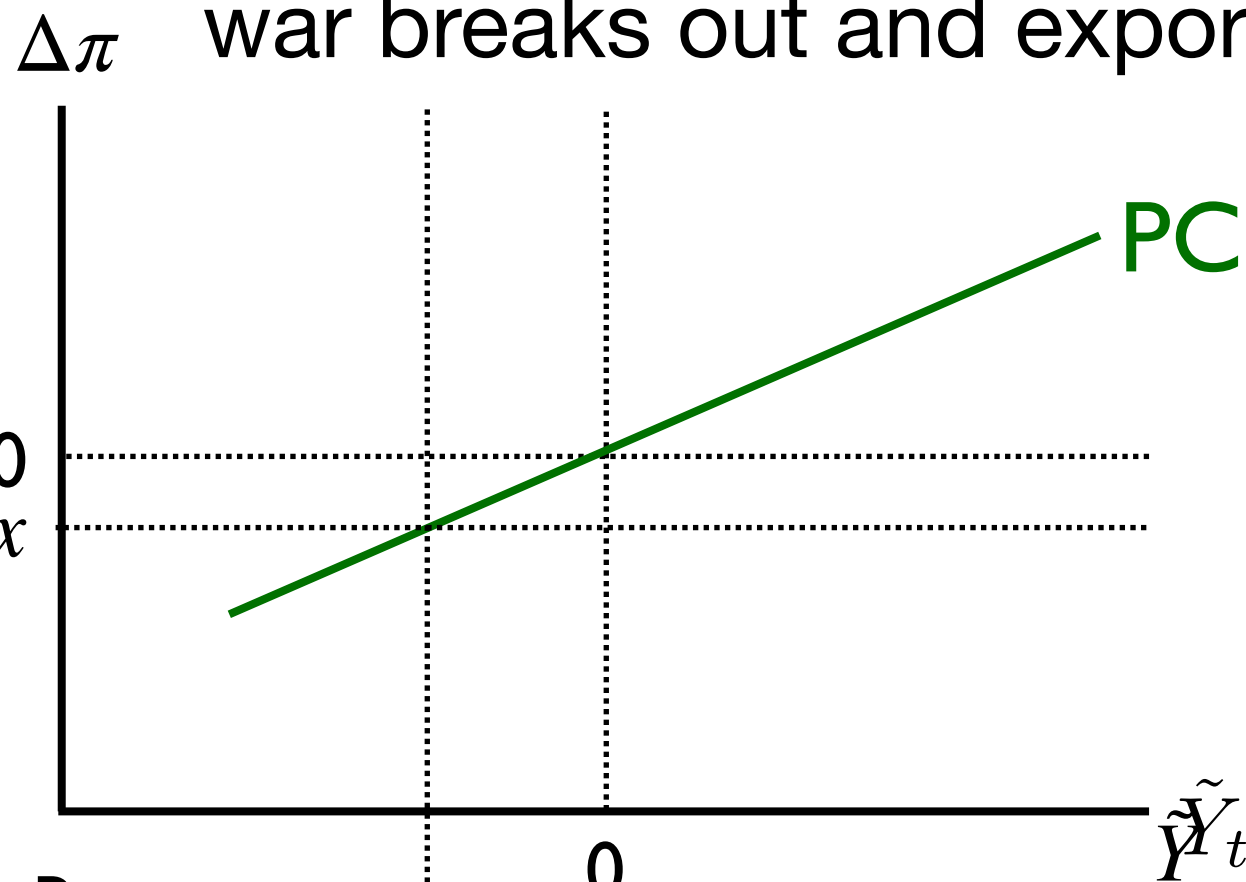
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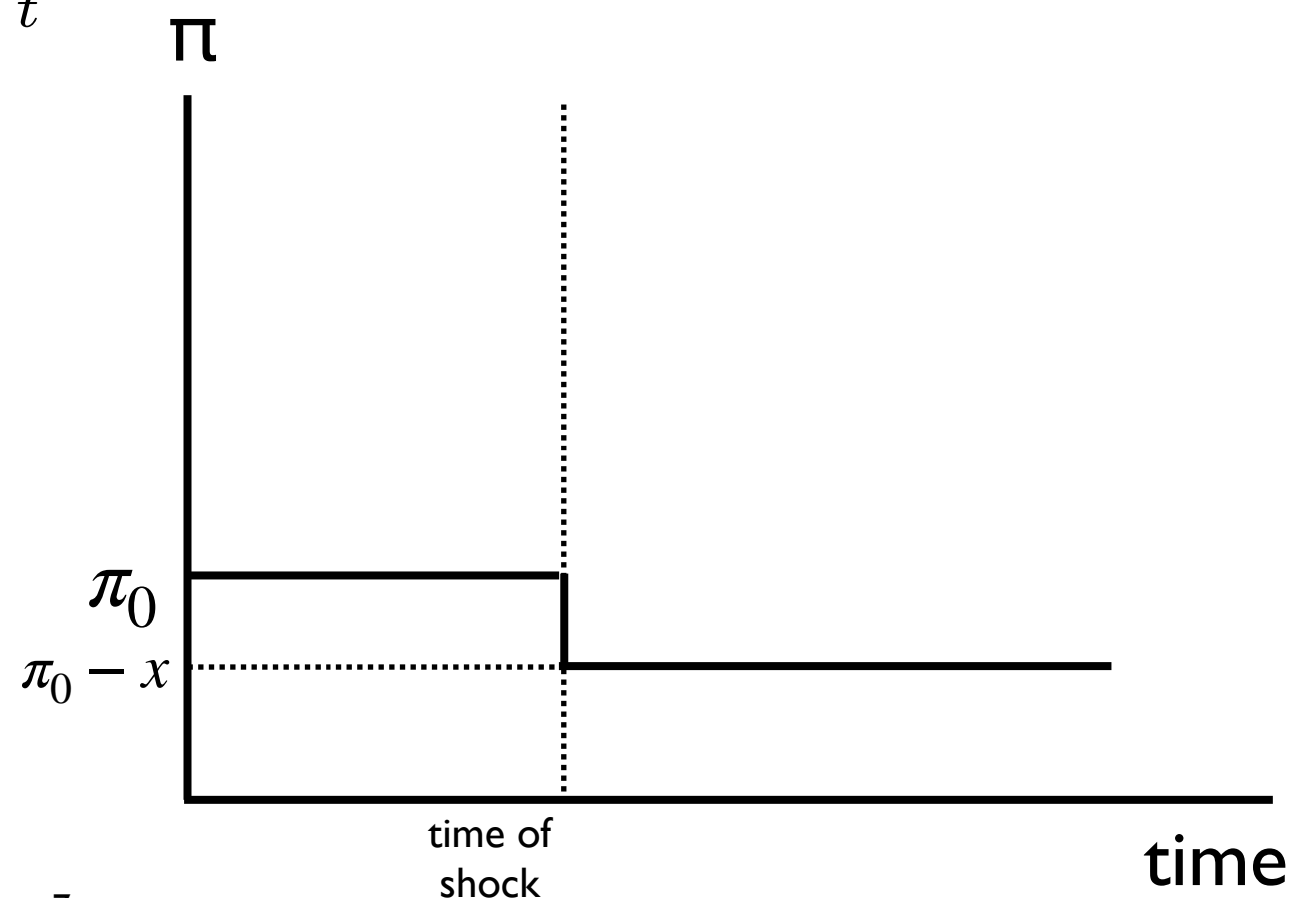
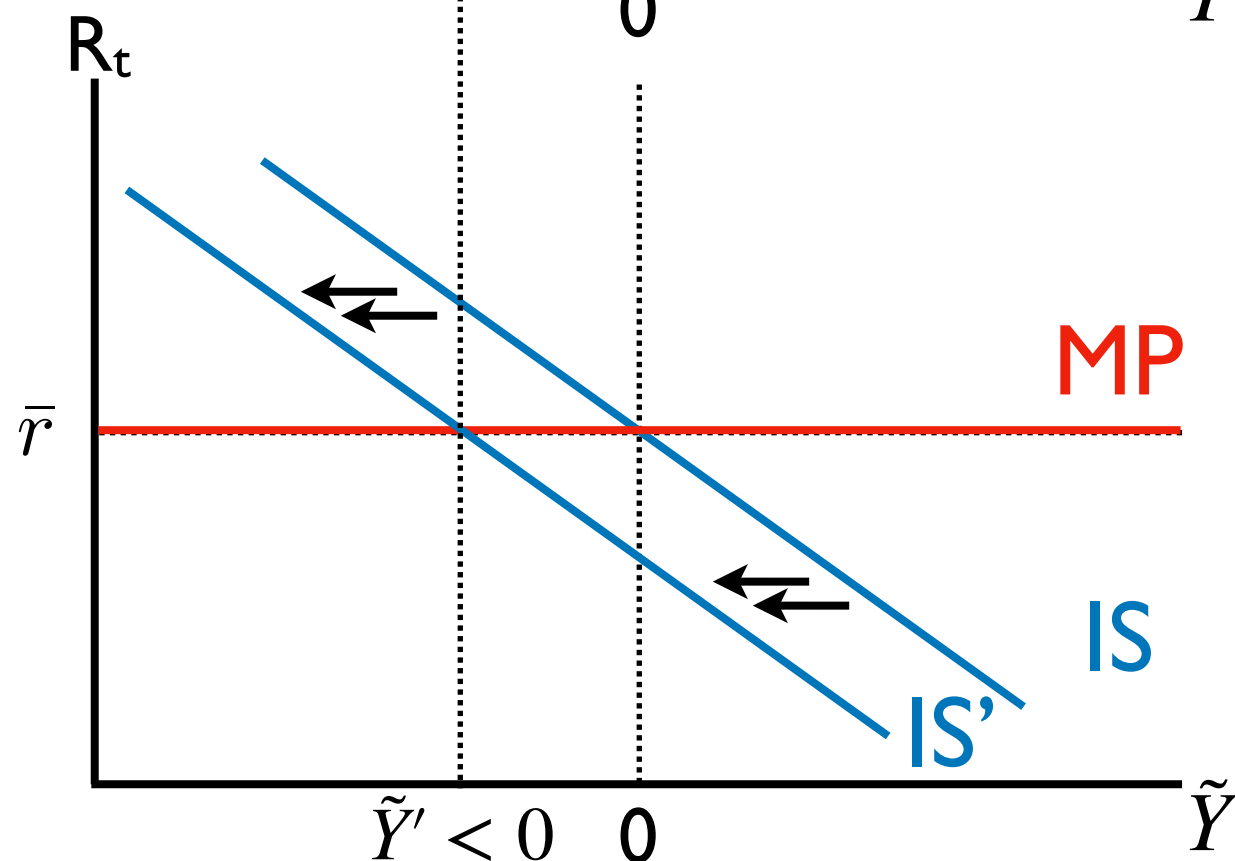


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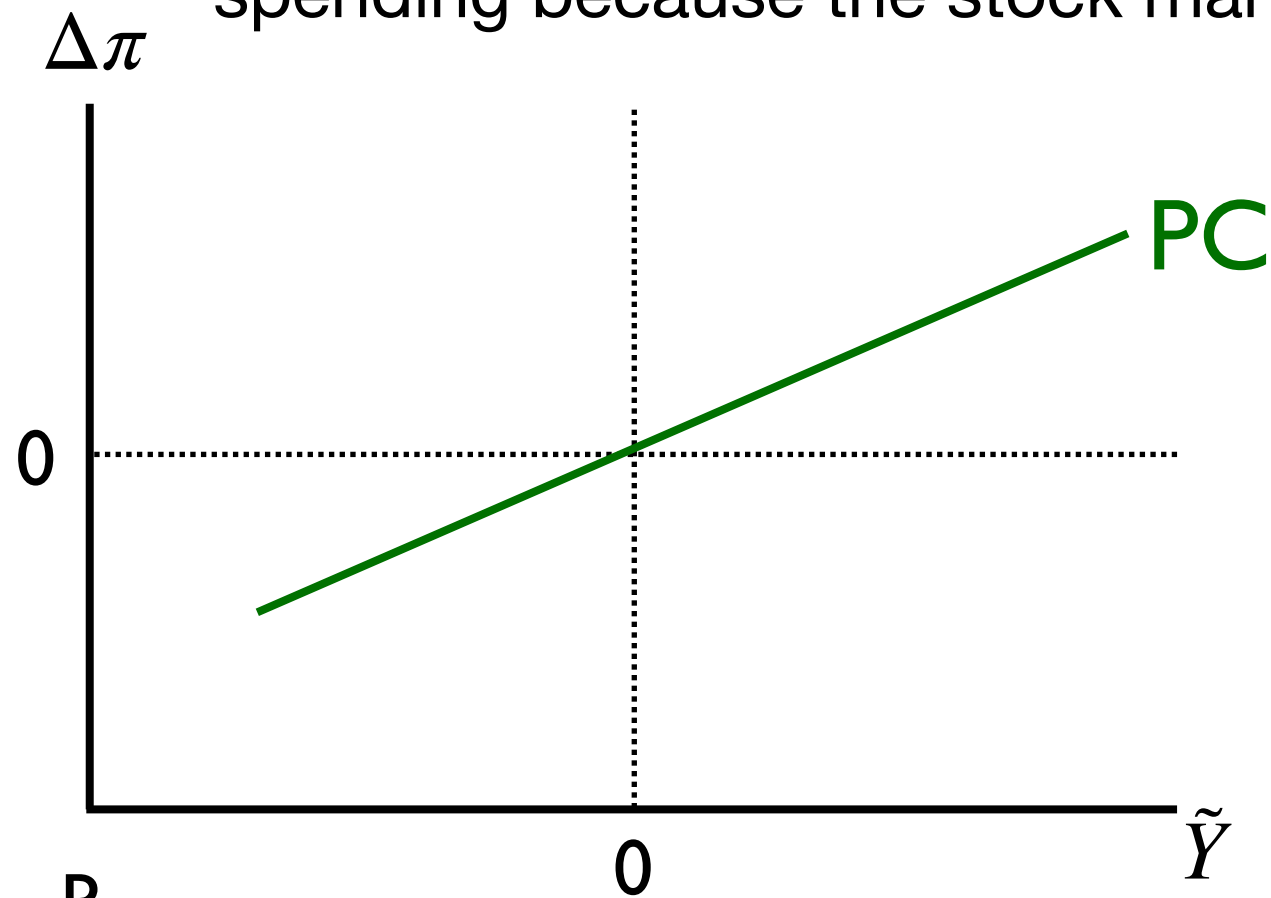


Exports are part of aggregate demand. (They are what foreign countries purchase out of our production $\bar{Y}$.) A reduction means a leftward shift of the IS curve. This causes a recession, and inflation will fall.

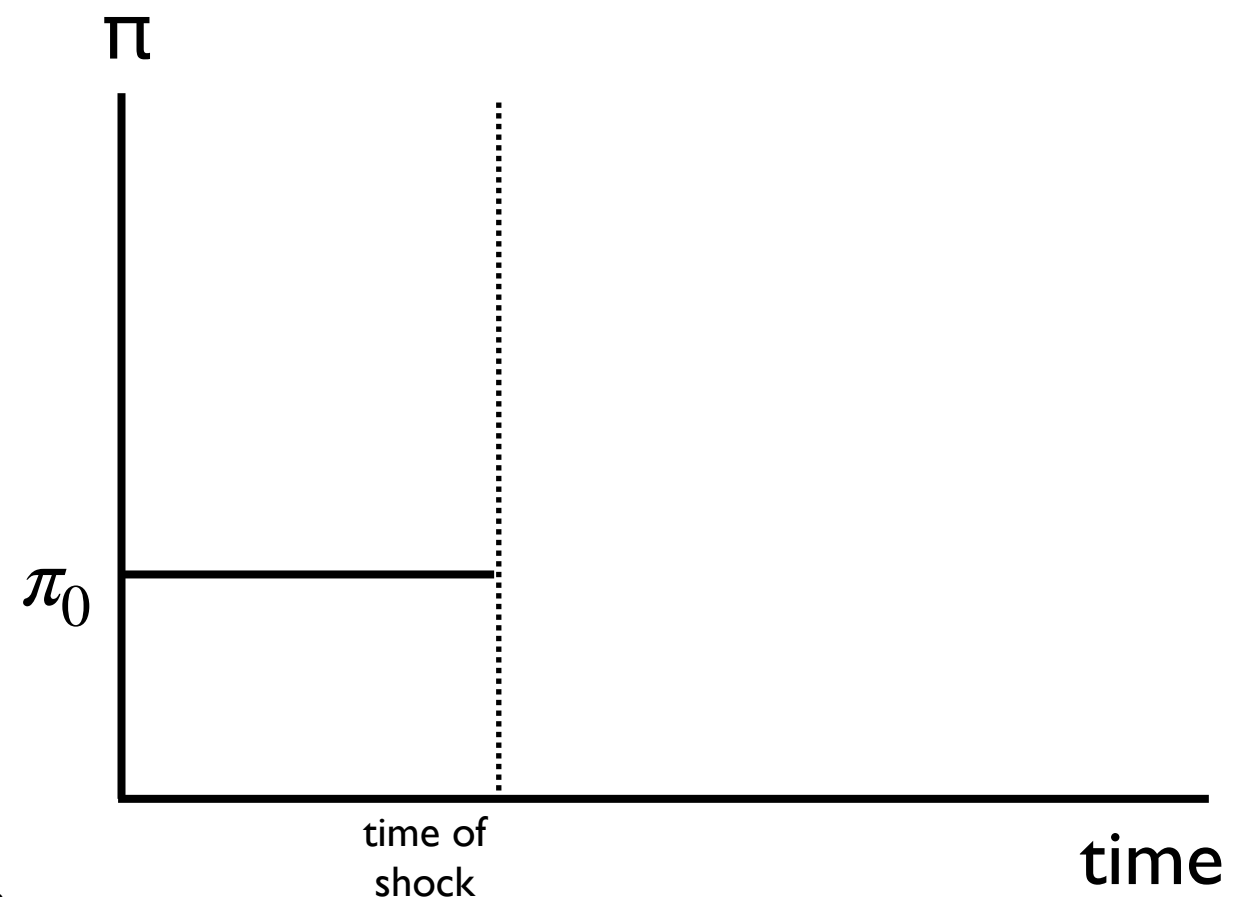
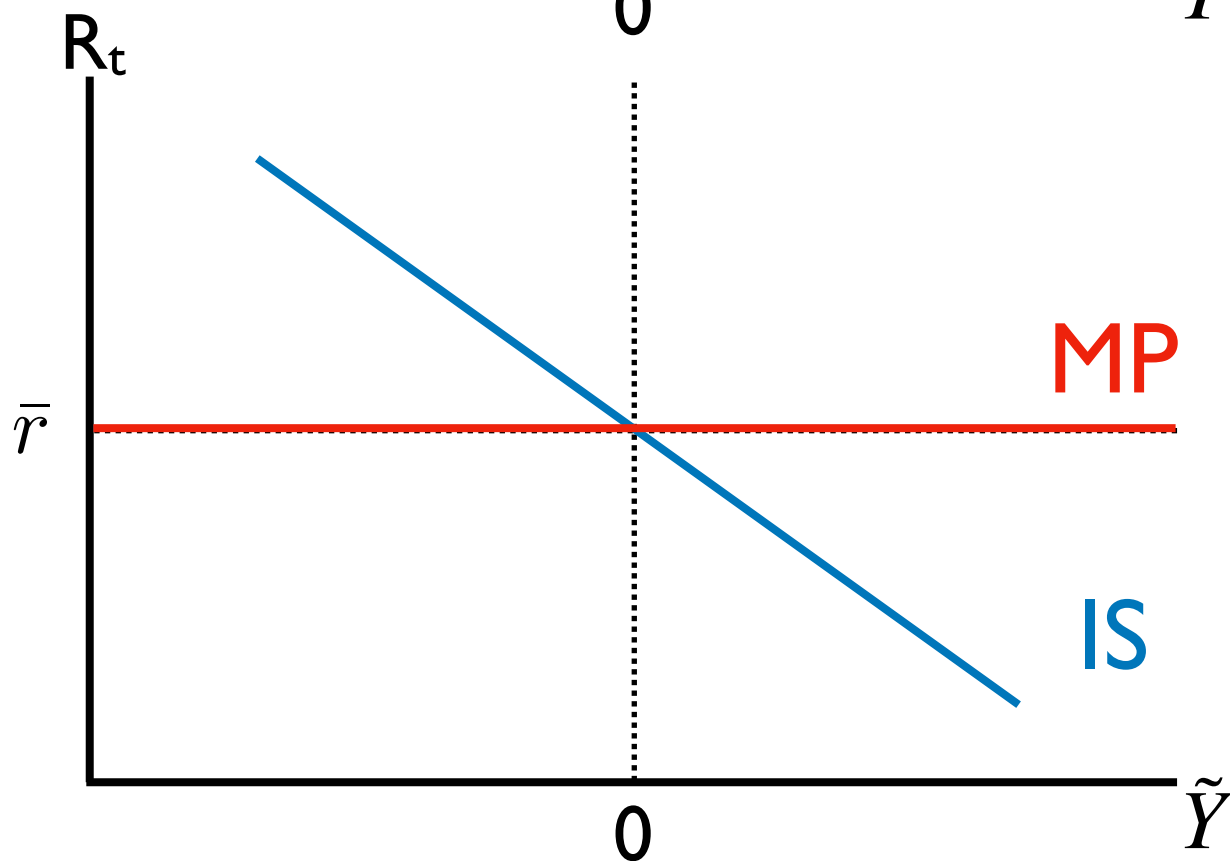
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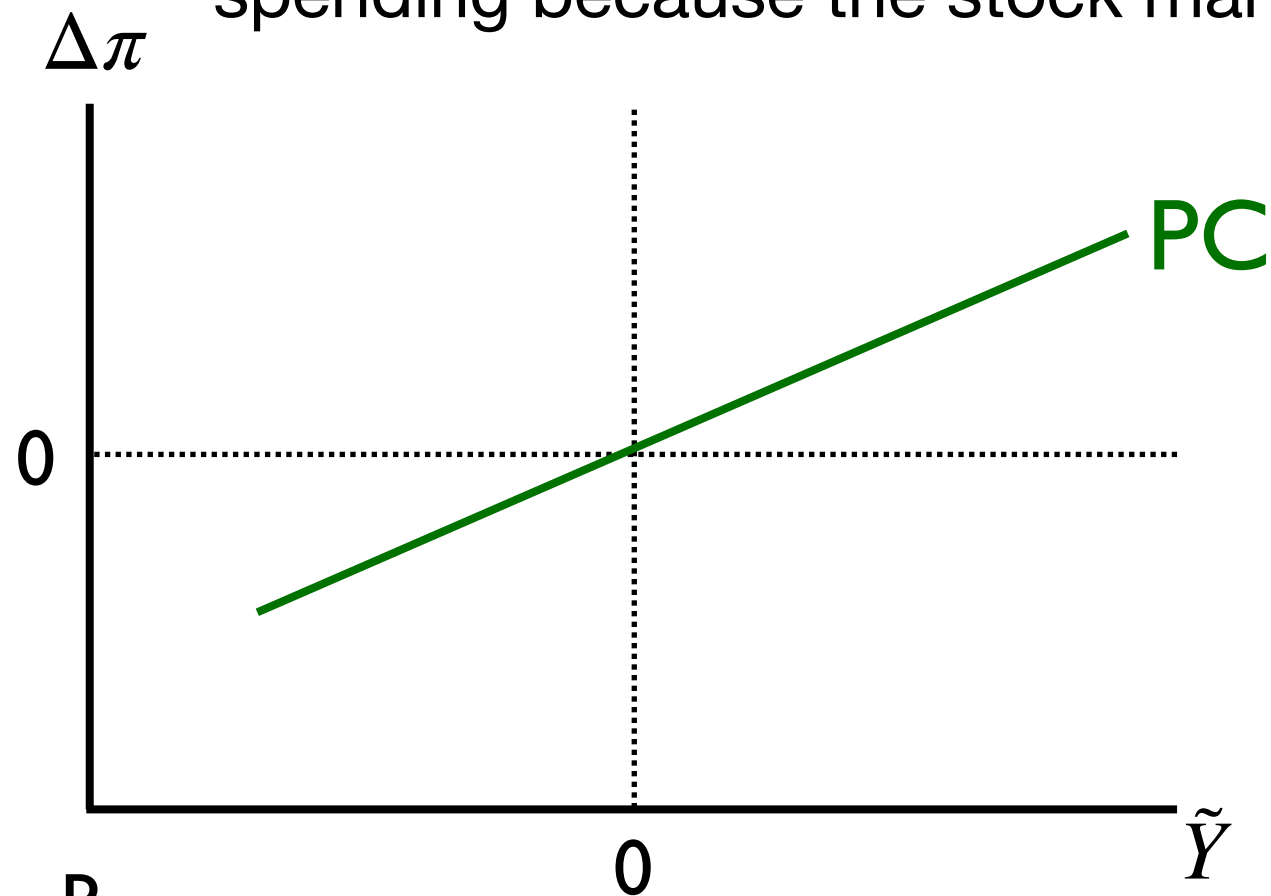
100b.20.3 Suppose there is a demand shock: consumers increase spending because the stock market is soaring. What happens first?



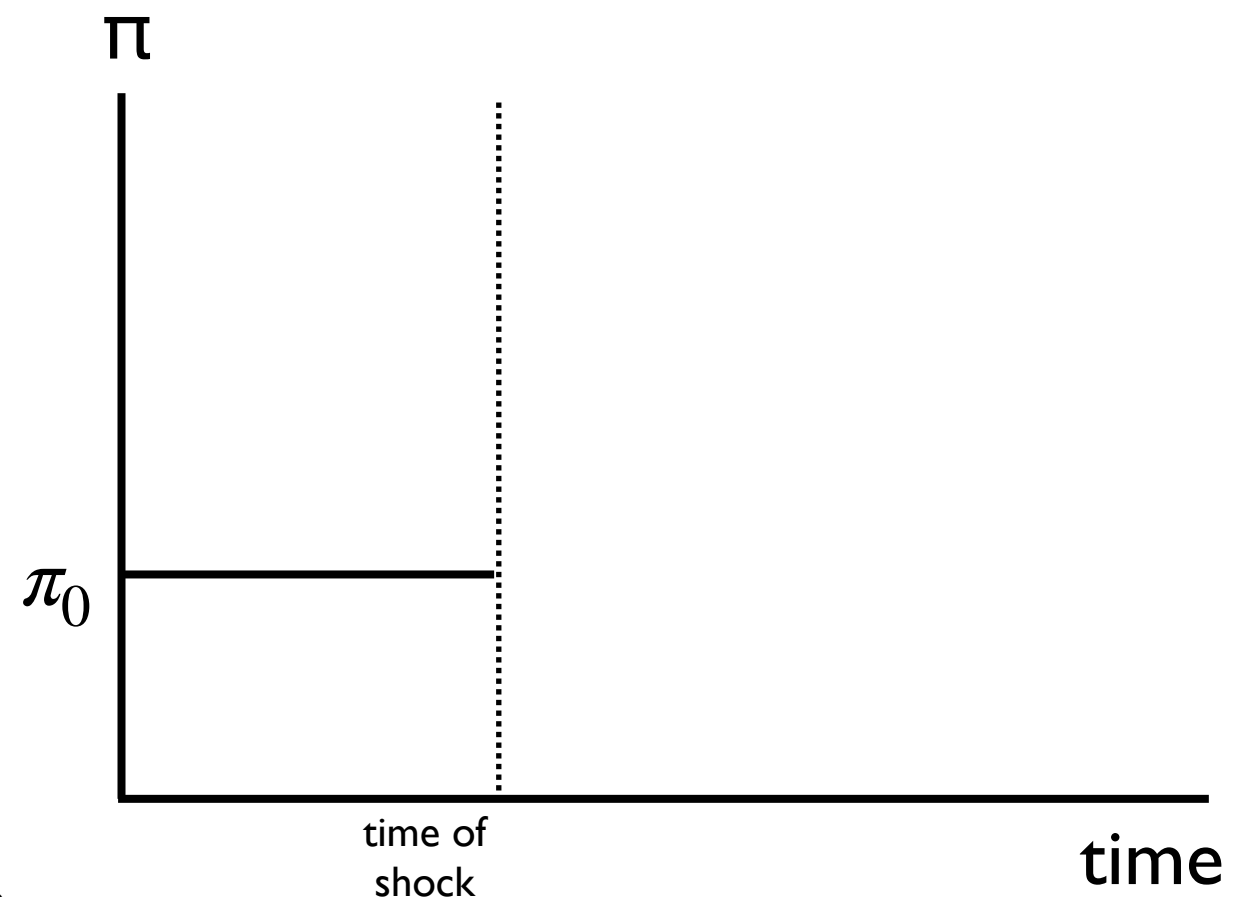
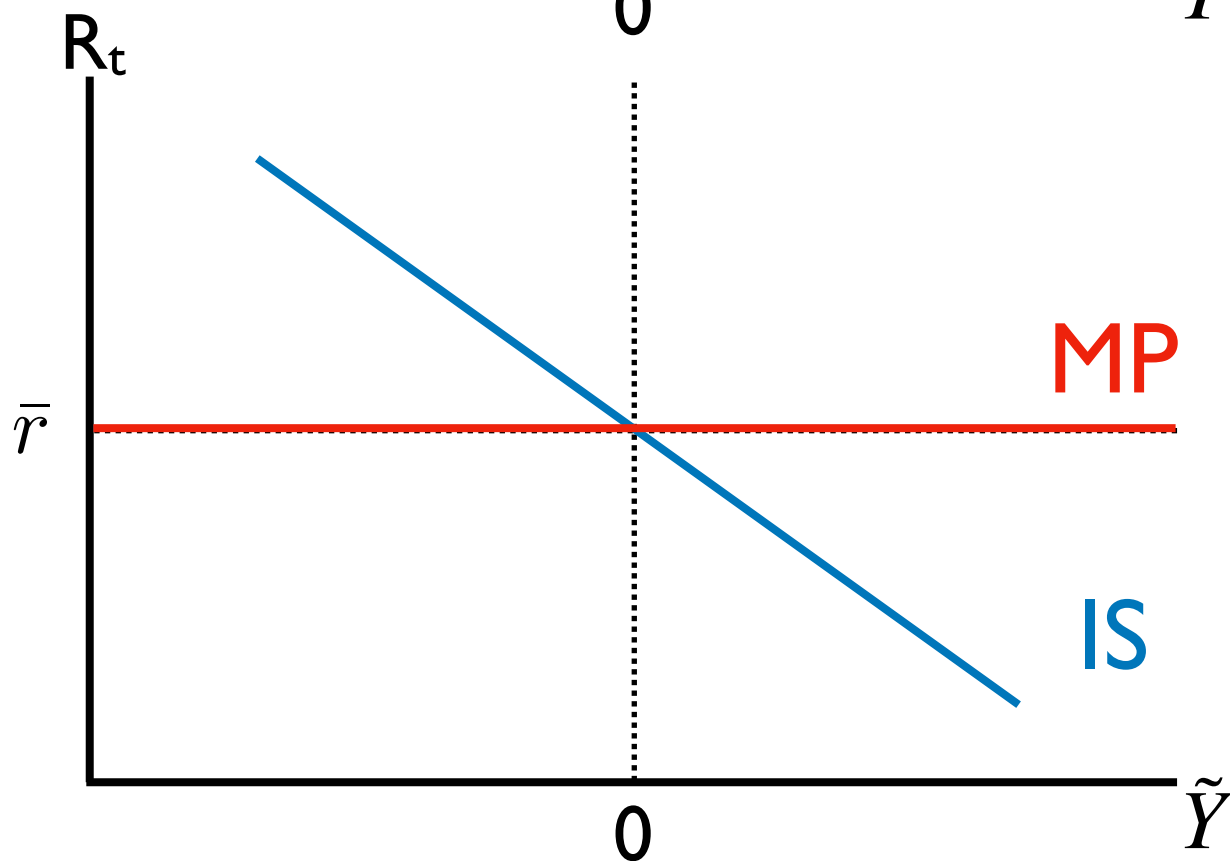
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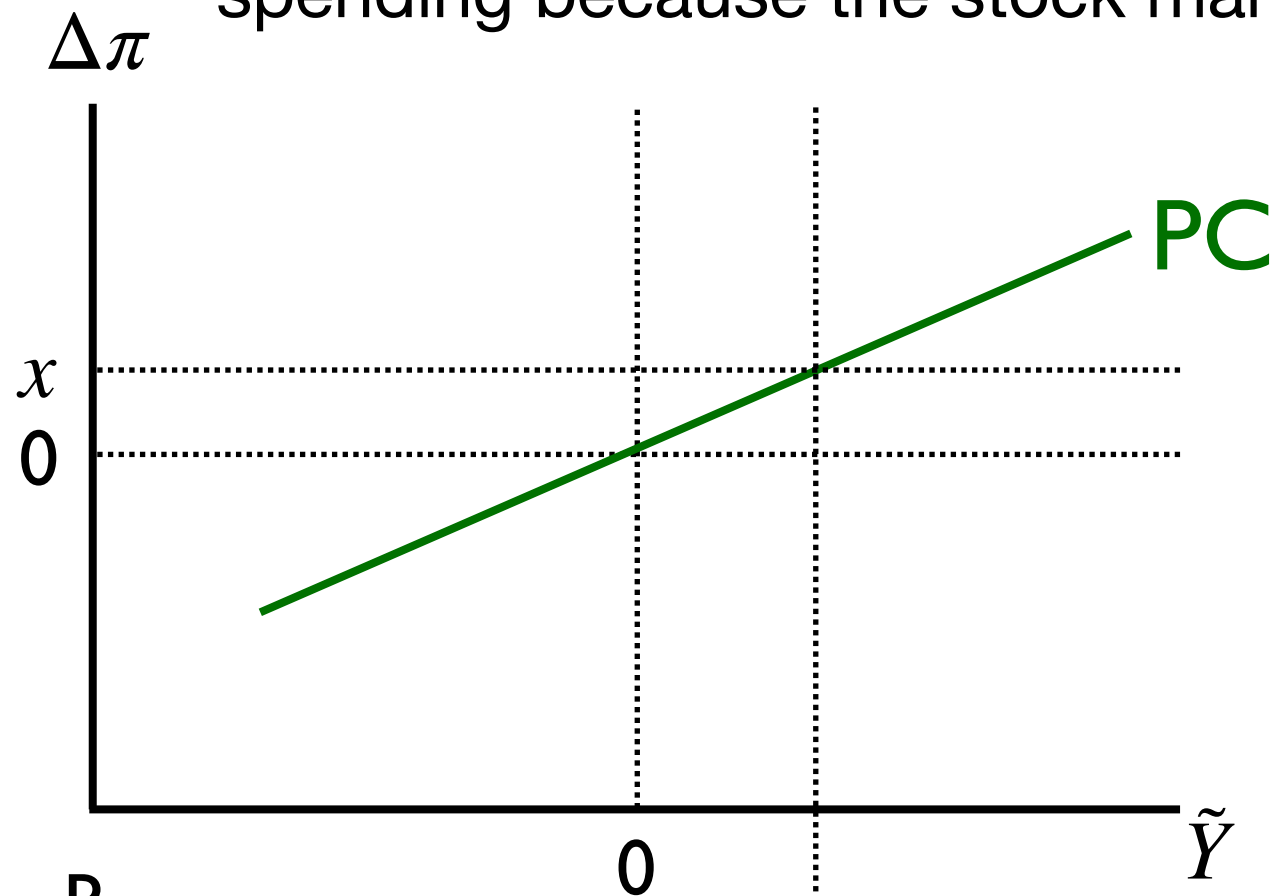
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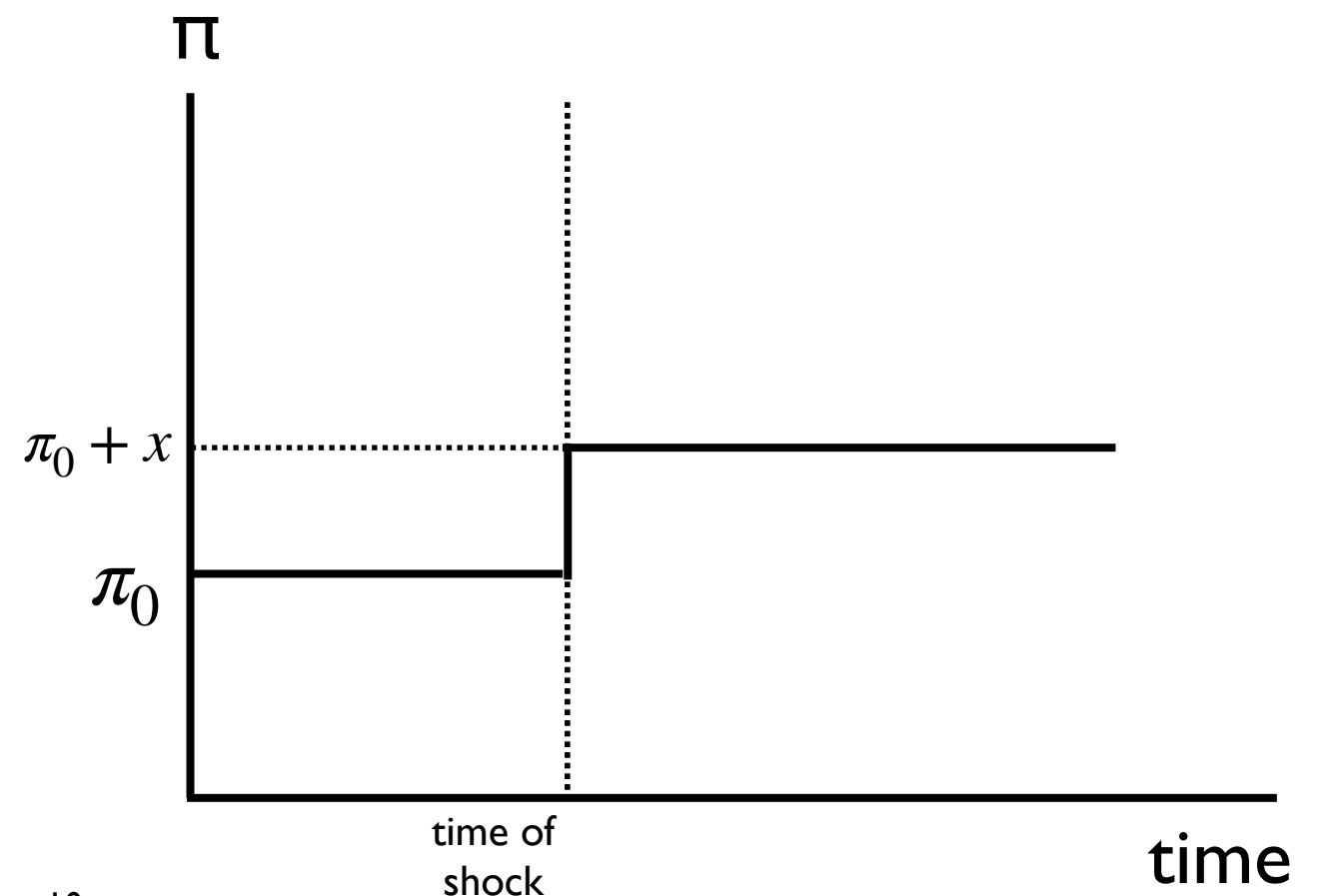
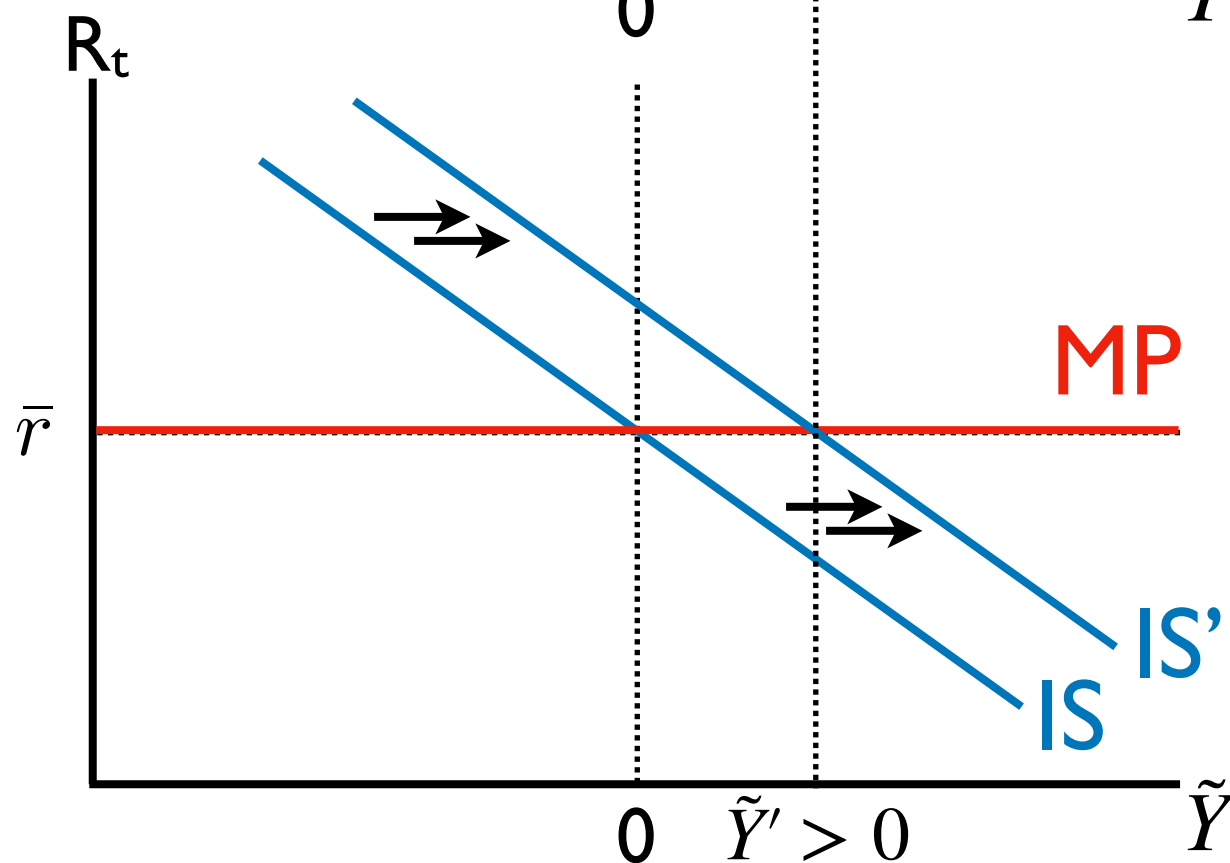


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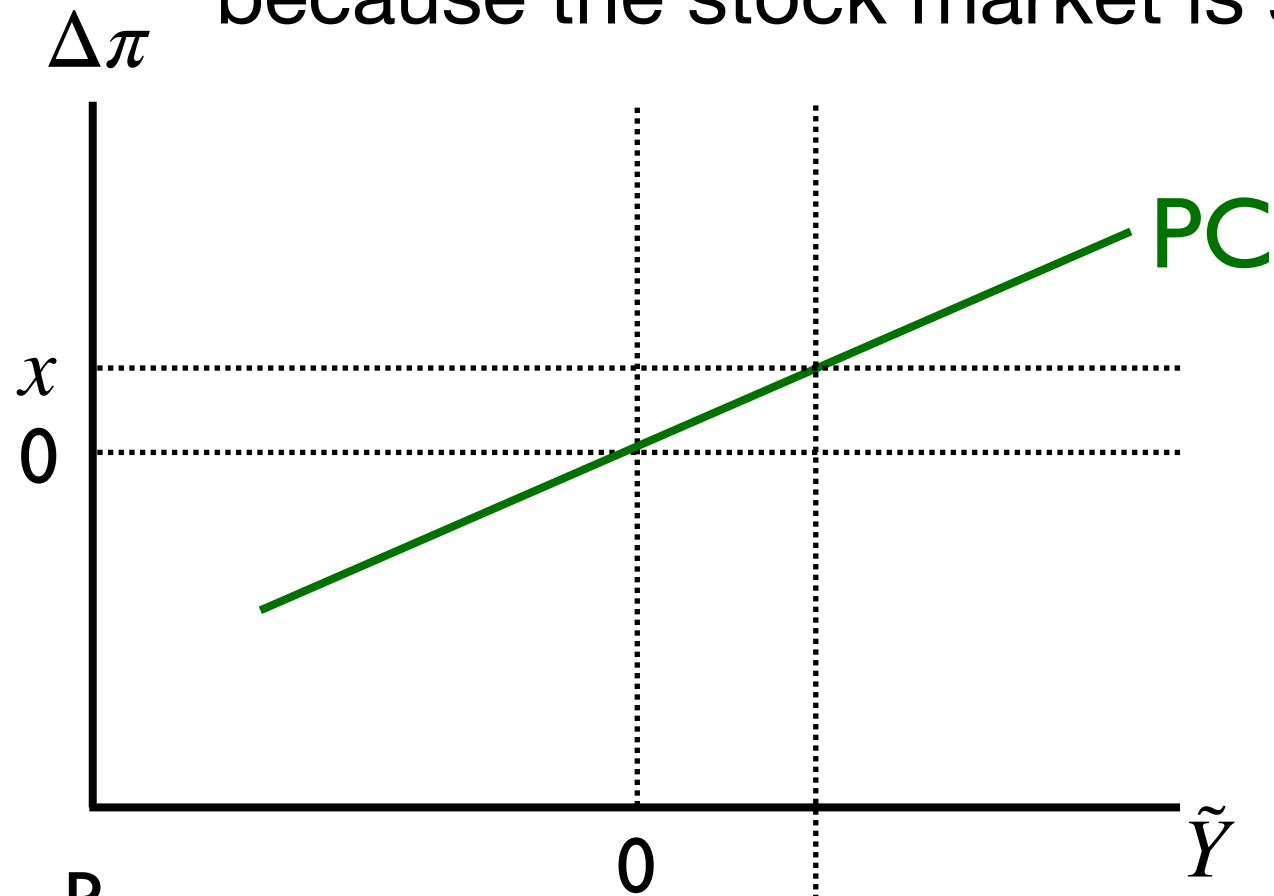


Consumption is part of aggregate demand. An increase means a rightward shift of the IS curve. This causes a boom, and inflation will rise.

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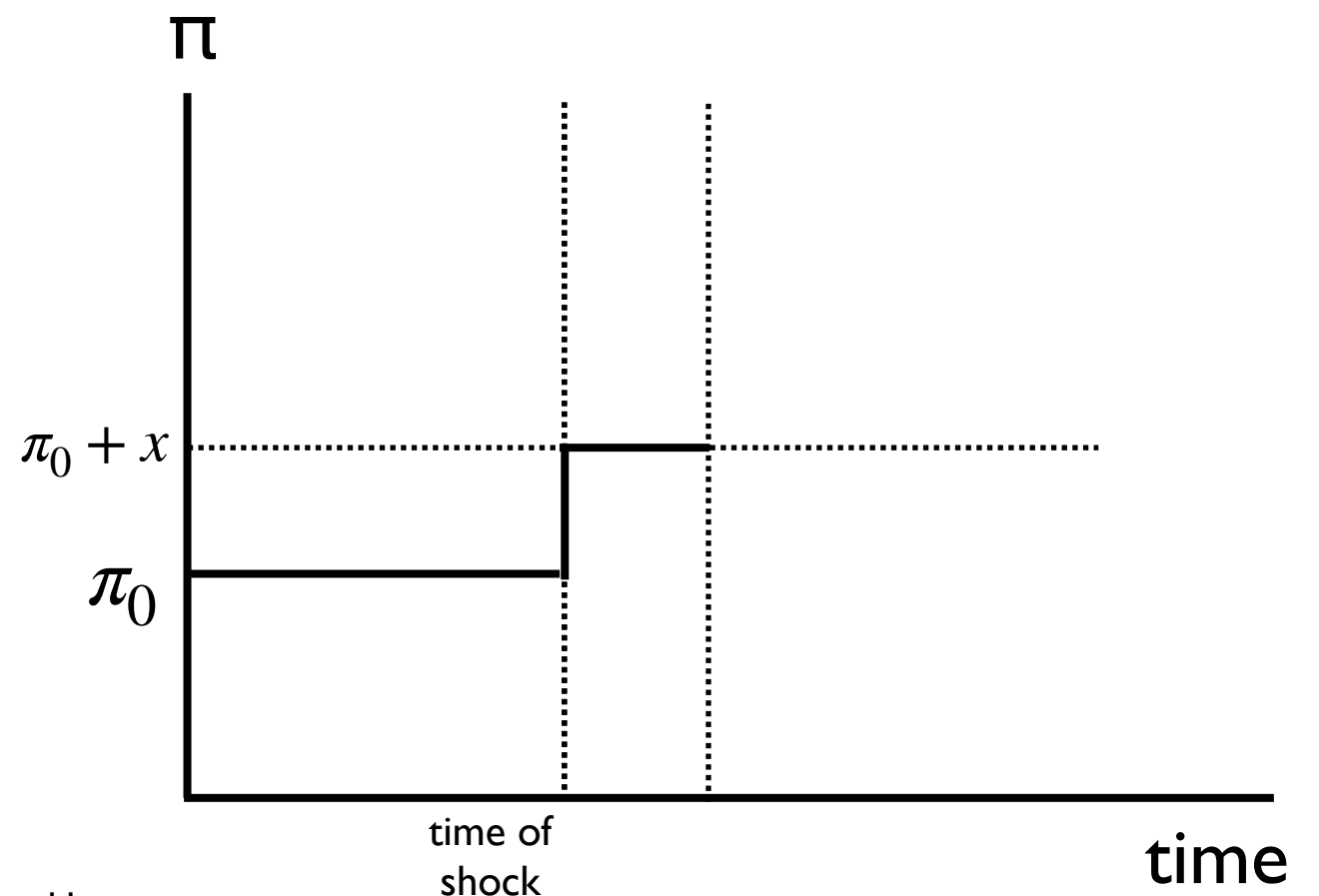
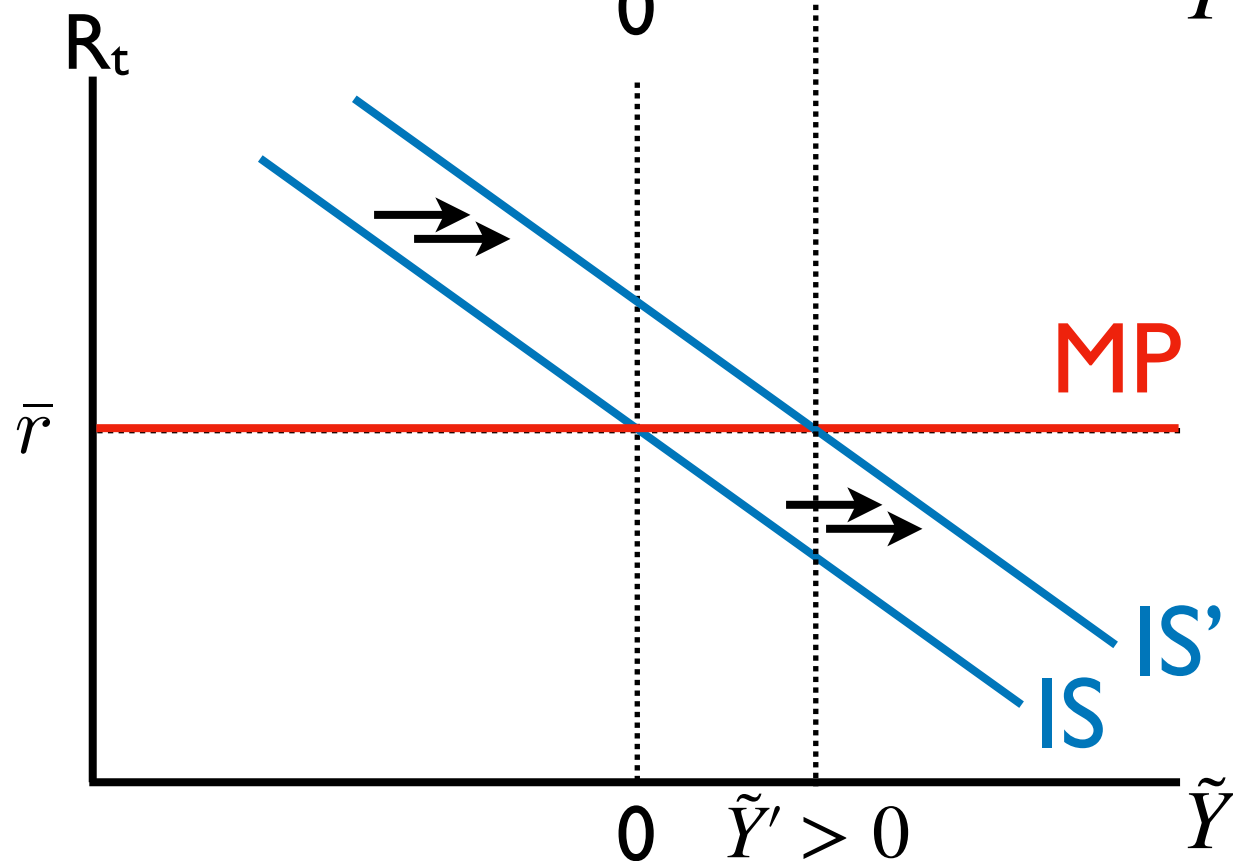


100b.20.4 Suppose consumers increased spending because the stock market is soaring. What happens NEXT?

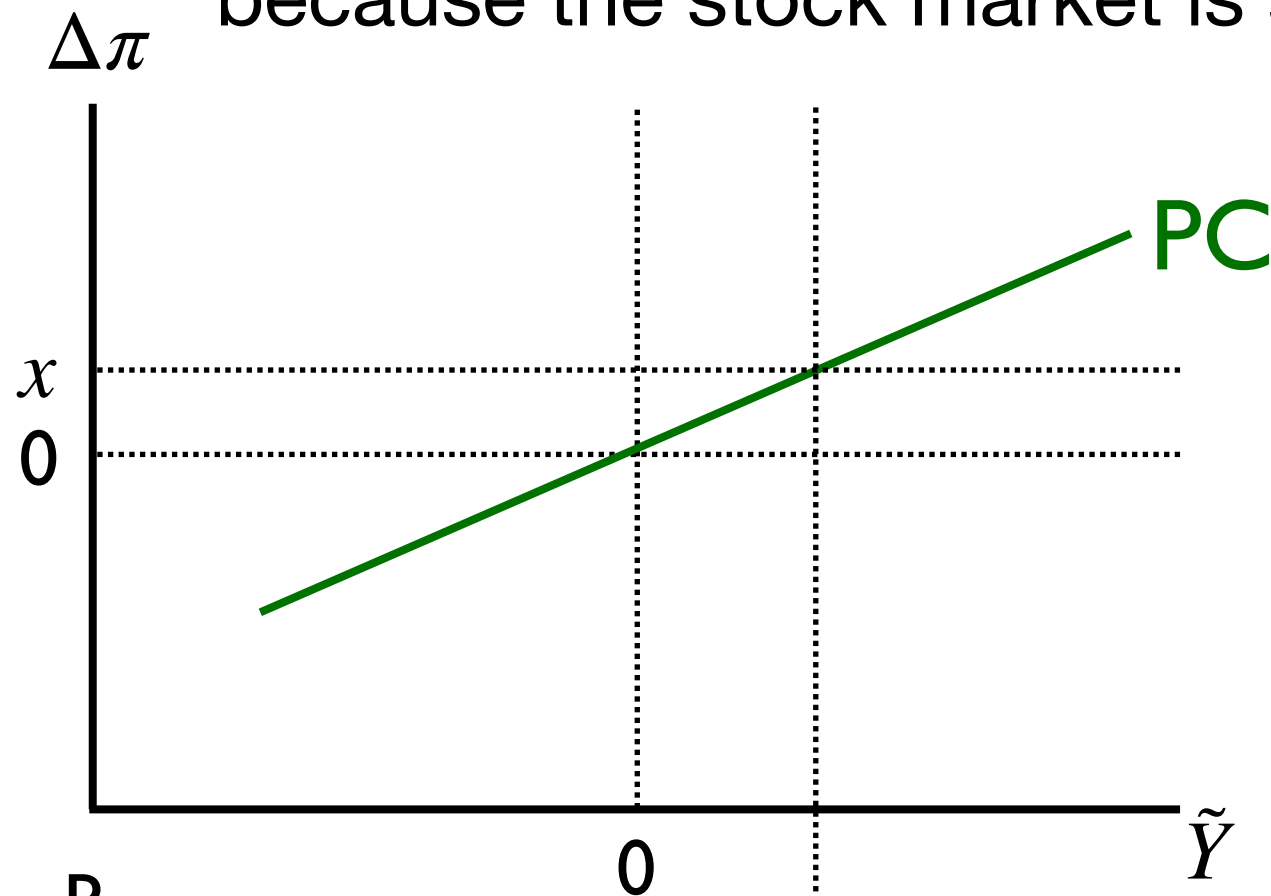


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- A. Inflation would fall because the IS curve shifts leftward
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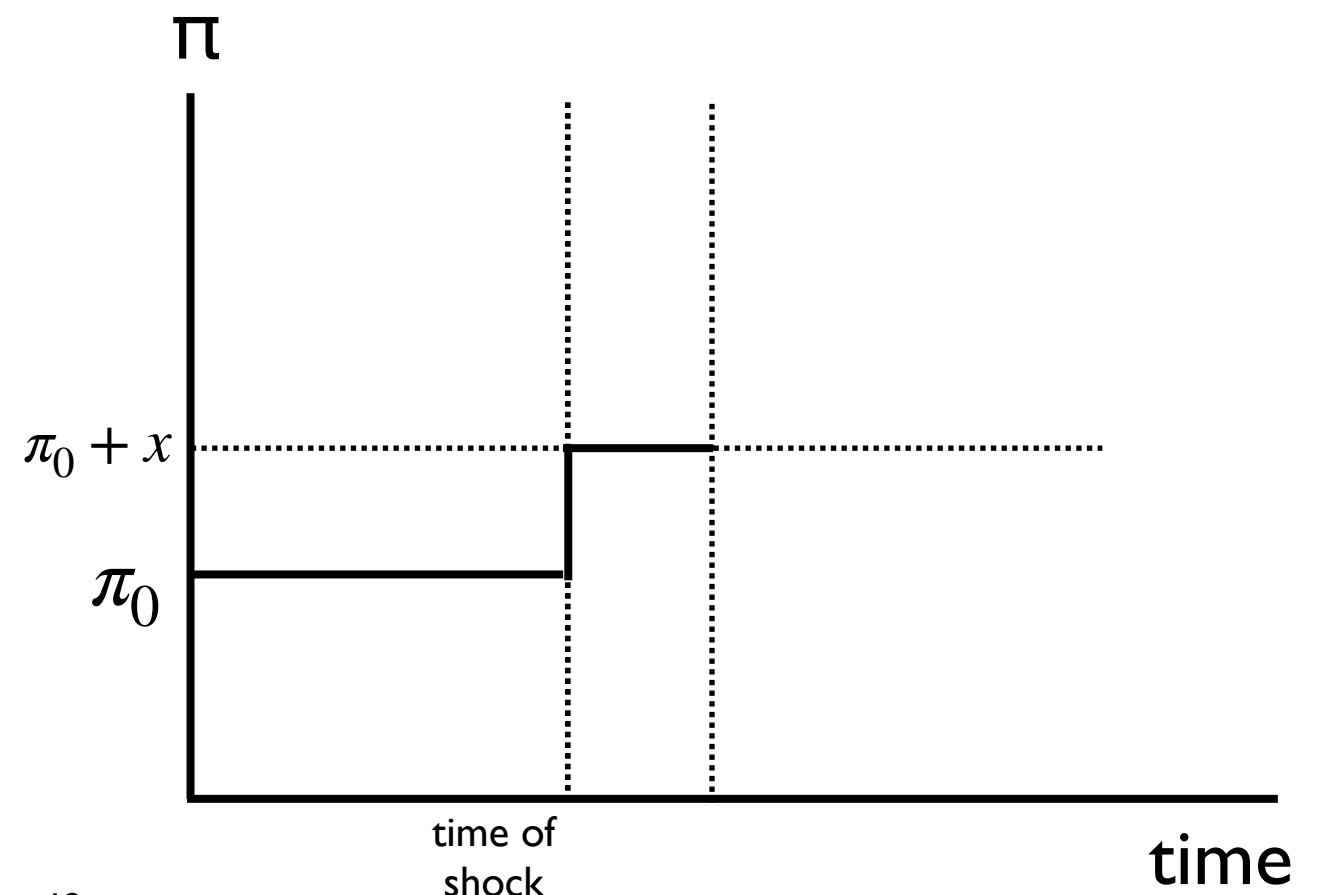
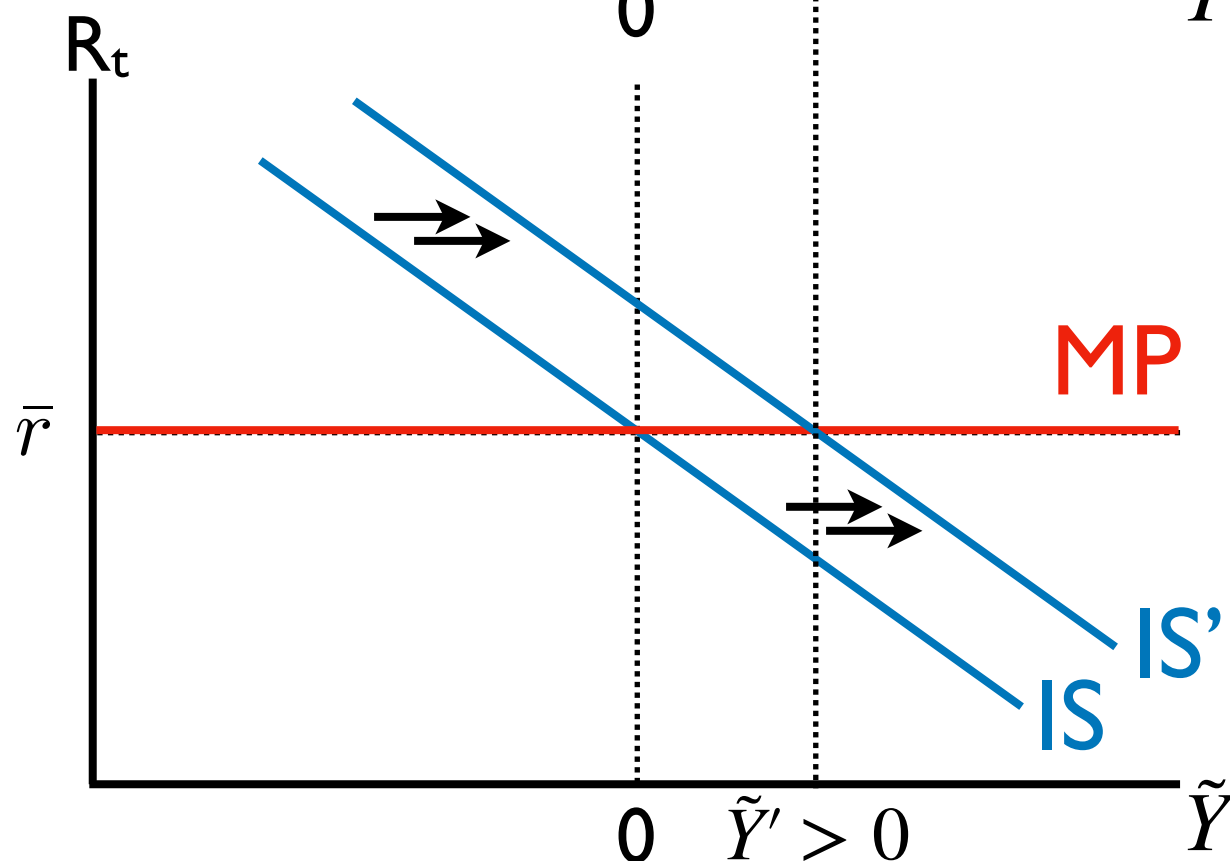
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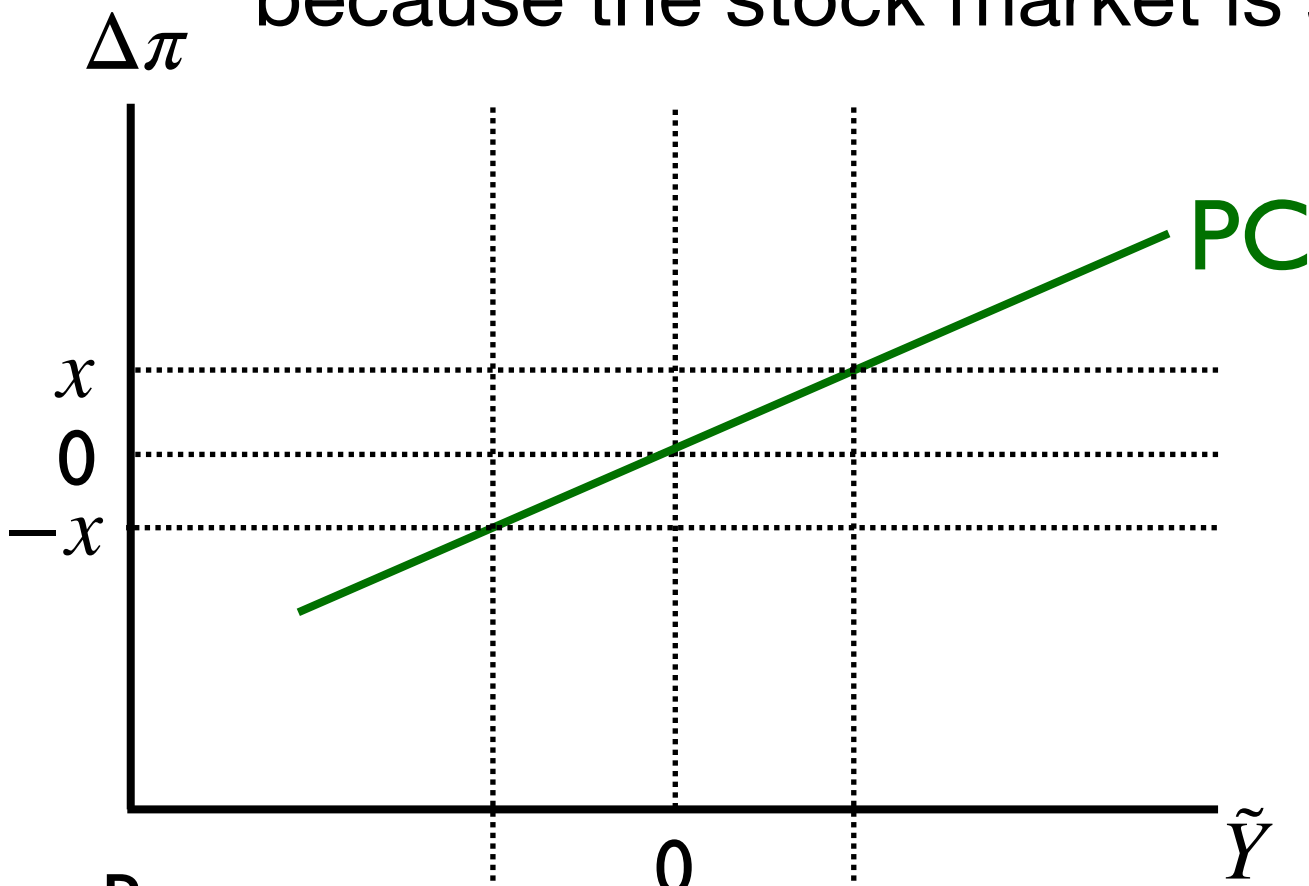
Consumption is part of aggregate demand. An increase means a rightward shift of the IS curve. This causes a boom, and inflation will rise.

The Fed would respond by raising the MP curve. Inflation will fall

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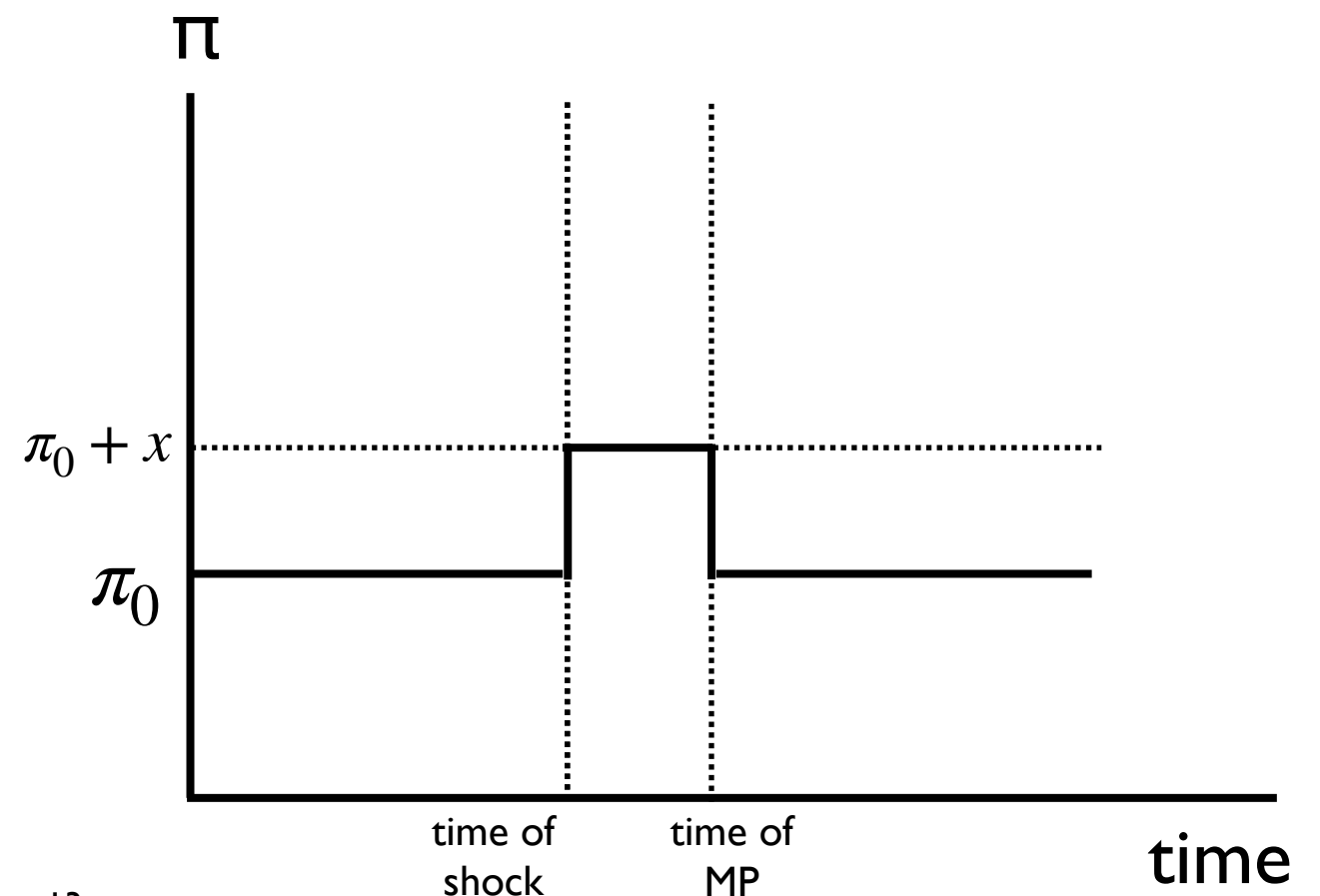
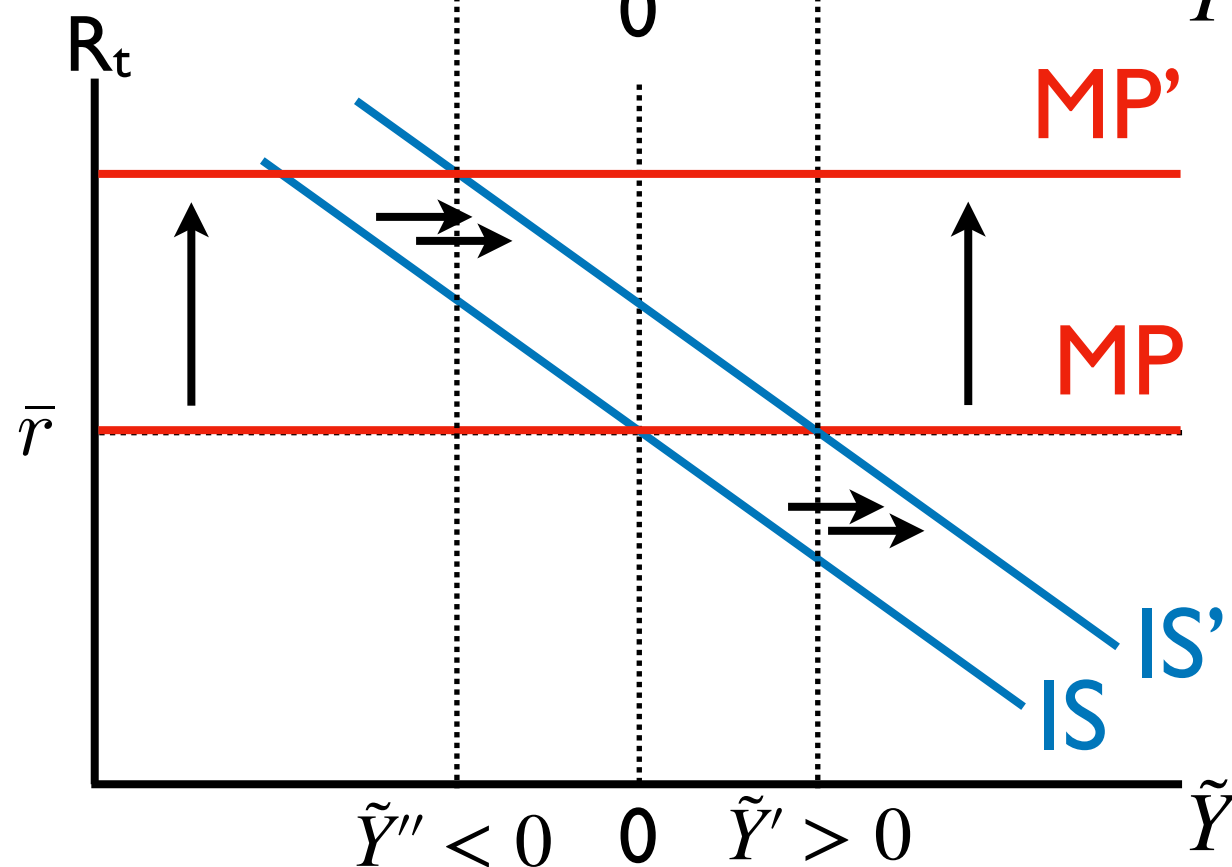
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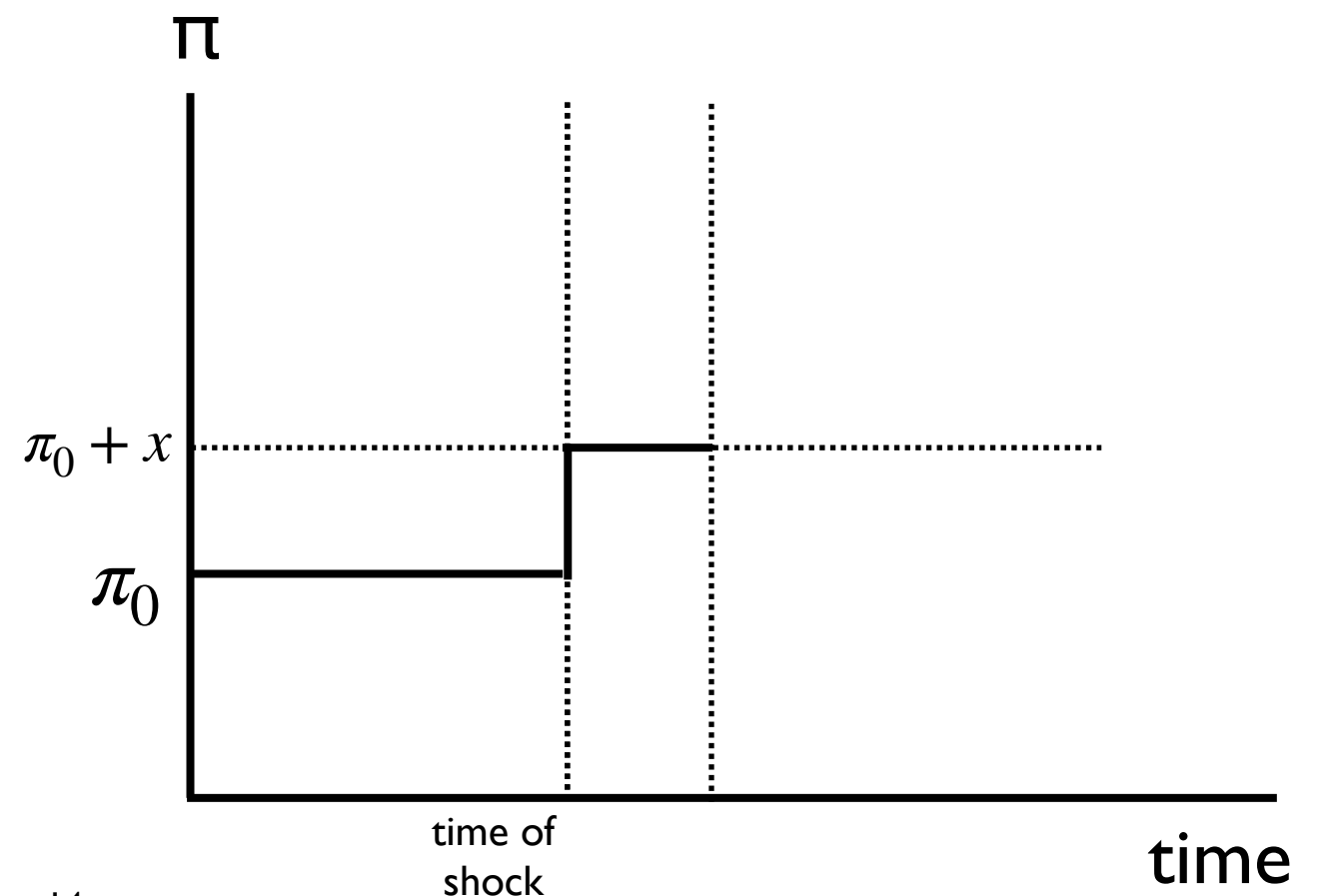
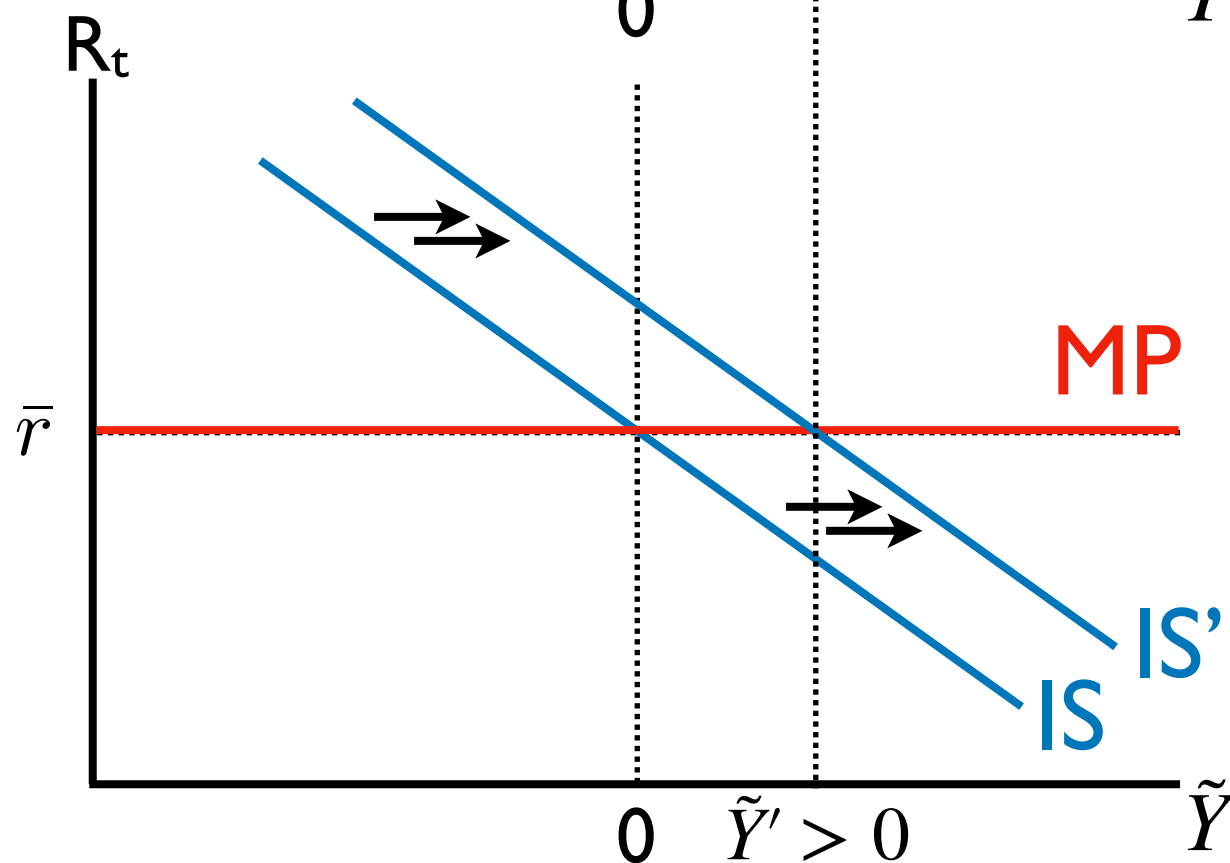


100b.20.5 Suppose government cut taxes and consumers spent most of those tax cuts. What happens NEXT?



When government cuts taxes and consumers spend most of it, consumption rises and the IS curve shifts rightward. This causes a boom, and inflation will rise.

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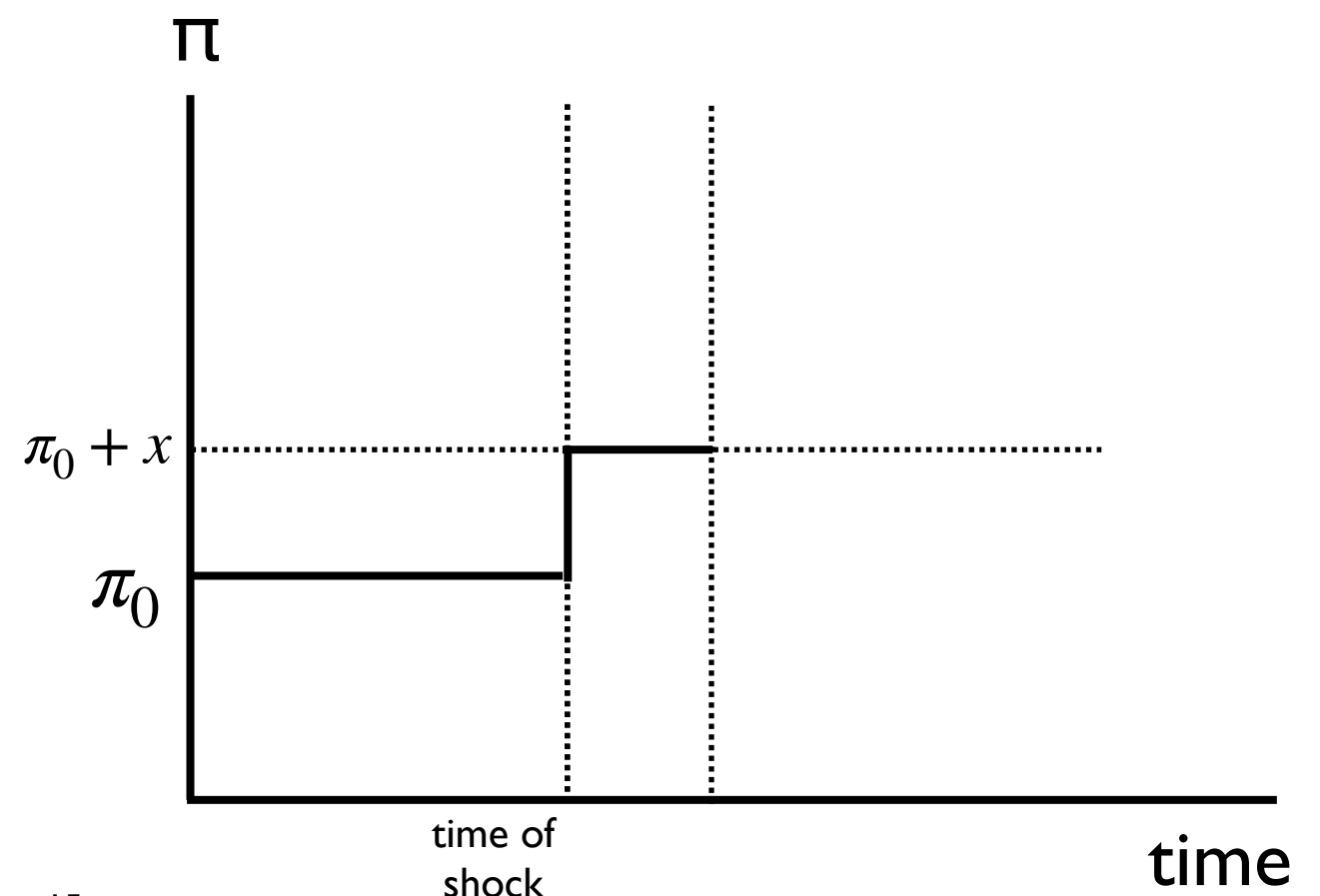
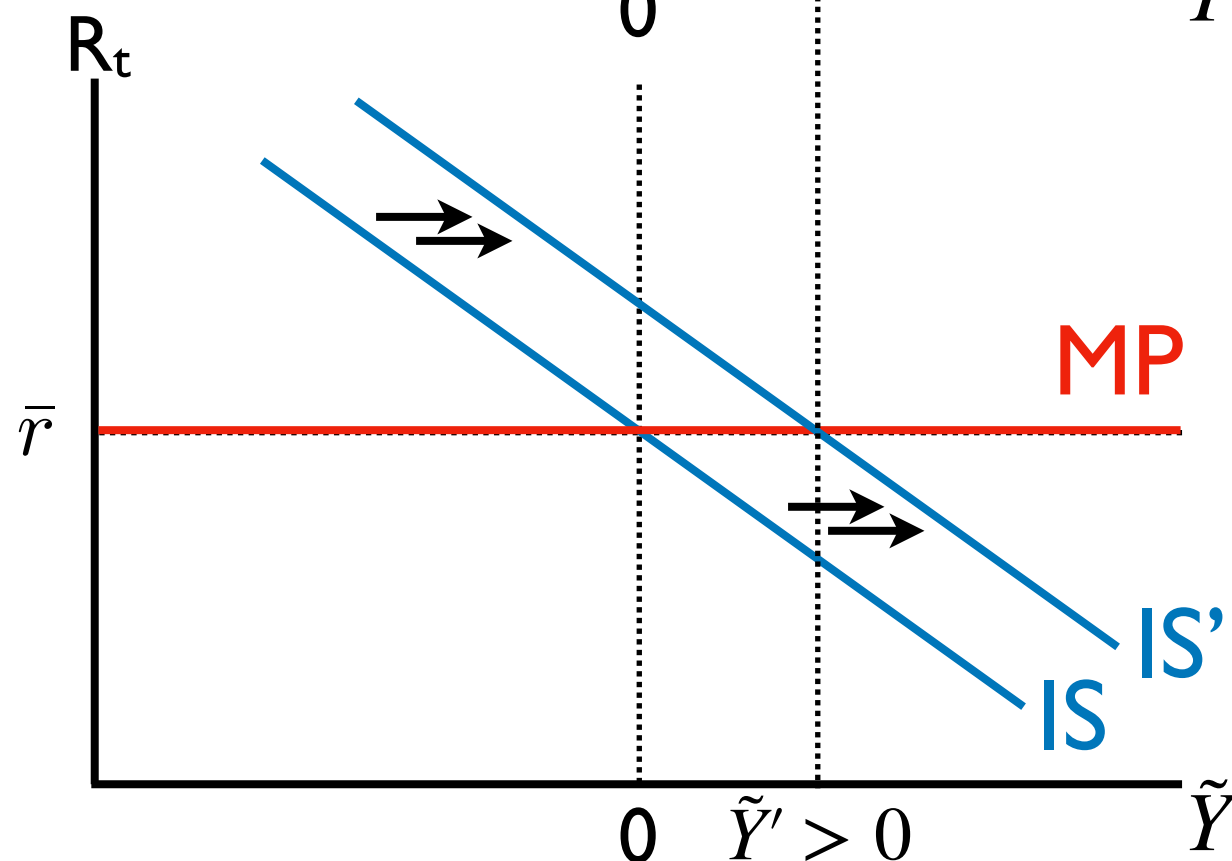
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